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February 12, 1997

To: Members of the Executive Board

From: The Secretary

Subject: **Zambia—Midterm Review Under the First Annual Arrangement Under the Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is a paper on the midterm review under the first annual arrangement under the Enhanced Structural Adjustment Facility for Zambia, which will be brought to the agenda for discussion on a date to be announced. A draft decision appears on page 17.

Mr. van Til (ext. 38386), Mr. Harmsen (ext. 38531), or Mr. Moser (ext. 37713) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Friday, February 21, 1997; and to the African Development Bank (AfDB) and the European Commission (EC), following its consideration by the Executive Board.

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ZAMBIA

Staff Report for the Midterm Review Under the First Annual Arrangement Under the Enhanced Structural Adjustment Facility

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal,
Monetary and Exchange Affairs, Policy Development and Review,
Statistics, and Treasurer's Departments)

Approved by Anupam Basu and Rattan Bhatia

February 12, 1997

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Executive Summary

Performance in 1996

- Under the first annual ESAF arrangement, Zambia experienced significant problems of program implementation, and six out of ten performance criteria for end-December 1995 were not observed; exogenous shocks weakened Zambia's external outlook and further policy problems emerged in the first half of 1996.

- The government adopted in May a revised program for 1996 to bring performance back on course, including strong fiscal and monetary adjustment, an accelerated timetable for the privatization of ZCCM and strengthening of its management, and continuing banking sector reforms. In August, the staff-monitored program was revised to reflect the sharp drop in copper prices and lower donor assistance.

- While performance was broadly in line with the targets for June and September, the budget deteriorated sharply in October. Fiscal performance improved significantly in December and with the further tightening of the monetary policy stance, all the end-December performance targets were achieved with the exception of the ceiling on NDA which was missed by less than 1 percent.

- The privatization of ZCCM was accelerated in 1996, with international bids expected by end-February 1997. Regarding its current operations, the company has taken steps to strengthen procurement and marketing practices. Nonetheless, the financial situation of the company remains difficult. A major effort is required in the coming months to mobilize adequate financing.

The budget for 1997

- The main macroeconomic policy objectives for 1997-99 include an annual GDP growth of 5-6 percent, a reduction of inflation to 15 percent in 1997 and 4 percent thereafter, and a buildup of international reserves.

- The budget for 1997 targets a domestic surplus of 1 percent of GDP, with an increase in domestic non-privatization revenue of 0.2 percentage points. Lower current expenditure (relative to GDP) reflects inter alia a firm control over the wage bill.

Staff position

- Despite the swings in policy implementation in 1996, overall macroeconomic performance strengthened and structural reforms were accelerated. As the targets under the staff-monitored program were broadly achieved, the staff recommends completion of the midterm review of the program supported by the first annual ESAF arrangement and granting of waivers for the nonobservance of six performance criteria for December 1995.

- The external outlook for 1997 remains difficult and a sizable financing gap is projected. The resumption of bilateral donor support for the 1997 program is critical to secure a fully financed program.

I. Introduction

1. Discussions with the Zambian authorities on the midterm review under the first annual arrangement under the Enhanced Structural Adjustment Facility (ESAF) were held in Lusaka during February 11-22, May 1-10, August 11-21, December 10-17, 1996, and in Washington during January 22-24, 1997.[1] The Zambian representatives included the Hon. R.D.S. Penza, Minister of Finance and Economic Development; Dr. J. Mwanza, Governor of the Bank of Zambia; and other senior government officials. The mission also met with members of the donor community and the private sector.

2. On December 6, 1995, following the successful completion of Zambia's rights accumulation program and the clearance of arrears to the Fund, the Executive Board approved a three-year ESAF arrangement in an amount equivalent to SDR 701.7 million and a one-year SAF arrangement in an amount equivalent to SDR 181.7 million (with a combined commitment equivalent to 243 percent of quota). The first annual arrangement approved under the SAF and ESAF amounted to SDR 843.4 million, of which SDR 833.4 million was disbursed in December 1995. On December 4, 1996, the Executive Board approved Zambia's request for an extension of the period of the arrangement to February 28, 1997, to allow more time for the completion of the midterm review of the program and to improve policy performance.

3. In concluding the 1996 Article IV consultation in July 1996, Executive Directors regretted that Zambia's ESAF-supported program had gone off track soon after it was approved and underscored the need for stronger macroeconomic performance in 1996. Directors stressed that consistently satisfactory performance under the staff-monitored program, accelerated progress with respect to the privatization of the national mining company (ZCCM), and reasonable assurances of balance of payments financing in 1996 would be needed for the completion of the midterm review.

4. Parliamentary and presidential elections were held in Zambia on November 18, 1996, in which the ruling Movement for Multiparty Democracy (MMD) party maintained a large majority in Parliament and President Chiluba was reelected. Despite the boycott of the elections by the main opposition party, the political situation has remained stable since then.

5. Bilateral donors have continued to withhold balance of payments assistance in response to concerns over economic performance and governance issues. The World Bank continued

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[1] The staff representatives included Mr. Johnson (head), Mr. Gordon, Mr. Moser, and Mr. Stankovski (all AFR), Mr. Ross (PDR), Mr. Gropp (FAD), Ms. Mercer-Blackman (FAD), and Ms. Khattak (assistant-AFR). On the last two occasions, the staff team consisted of Mr. van Til (head), Mr. Harmsen, Mr. Moser, Mr. Almekinders (all AFR), Mr. Barnard (PDR), and Ms. Mercer-Blackman (FAD). Mr. Taha, the Resident Representative, assisted the missions.

its financial support for Zambia's adjustment effort in 1996, most recently with the release of the US$45 million first tranche of the Economic and Structural Adjustment Credit in October. The Bank is expected to be able to disburse the second tranche of its US$70 million Economic Recovery and Investment Promotion credit in the first quarter of 1997.

6. In the attached letter for the midterm review under the first annual ESAF arrangement (Appendix I), the authorities present the facts related to the nonobservance of six performance criteria for end-December 1995; review progress made during 1996 in improving policy performance; discuss the budget for 1997; and request waivers for the nonobservance of performance criteria to complete the midterm review. Summaries of Zambia's relations with the Fund and the World Bank Group are contained in Appendices II and III, respectively. An updated debt sustainability analysis is presented in Appendix IV.

II. The Staff-Monitored Program for 1996

A. Background[2]

7. Zambia's ESAF-supported adjustment program went off track soon after it was approved in December 1995, largely on account of the financial problems of ZCCM, sizable central bank lending to distressed commercial banks, and the shortfall in balance of payments support resulting from bilateral donor concerns over governance issues (Table 1).

	1995	1996			
	Actual	Orig. Proj. a/	SMP b/	Revised SMP c/	Outcome
			(Percentage change)		
Real GDP growth	-3.9	6.0	5.4	5.0	5.0
CPI (end-of- period)	46.1	10.0	18.1	27.0	35.2
Government domestic fiscal balance (cash) d/	0.2	1.0	0.8	0.9	1.0
Domestic bank credit to nongovernment	79.6	...	50.0	35.0	40.4
External current account balance d/	-6.1	-6.4	-6.5	-7.1	-6.0
Change in net international reserves (in US$ million)	49.0	69.0	10.0	-10.0	26.5
Balance of payments support	303	260	260	210	142

a/ As presented in EBS/95/189.
b/ Staff-monitored program, as presented in EBS/96/104.
c/ Revised staff-monitored program, as presented in EBS/96/181.
d/ In percent of GDP.

Subsequently, with a view to bringing the adjustment efforts back on course, the authorities revised their program in May 1996. It entailed renewed fiscal adjustment, tighter monetary

[2]A detailed description of the revised program for 1996 and program implementation through May can be found in EBS/96/104. Subsequently, an update of performance under the program was provided in the paper on Zambia's request for extension of the period of the first annual ESAF arrangement (EBS/96/181, 11/26/96).

policy, and an accelerated timetable for the privatization of ZCCM. The updated macroeconomic objectives reflected a slower recovery in mining output and higher-than-expected inflation, with real GDP growth in 1996 projected at 5.4 percent; consumer price inflation at 18 percent; and an increase in net international reserves of US$10 million. In June, the prospects for the year changed dramatically because of the steep decline in copper prices and a shortfall in bilateral donor assistance, which necessitated a reassessment of the

Box 1. Fiscal Developments in the Fourth Quarter of 1996

Budget performance deteriorated significantly in October as the government spent unexpectedly about K 18 billion on court-ordered payments to the previous owners of nationalized companies (most dating back to the mid-1980s) and K 13 billion on previously unrecorded domestic arrears. The domestic fiscal balance deteriorated by K 30 billion in October and by a further K 3 billion in November.

The government implemented strong measures in December, which resulted in K 38 billion in higher revenue than the average of the previous two months. Special revenue measures brought in K 27 billion alone, including vehicle registration fees (K 10 billion), collection of tax arrears (K 12 billion), privatization receipts (K 5 billion) and parastatal profit transfers (K 1 billion). In addition, cuts in expenditure allotments to line ministries for non-wage current and capital outlays resulted in a reduction of K 25 billion in expenditure in December, compared with average expenditure in October and November.

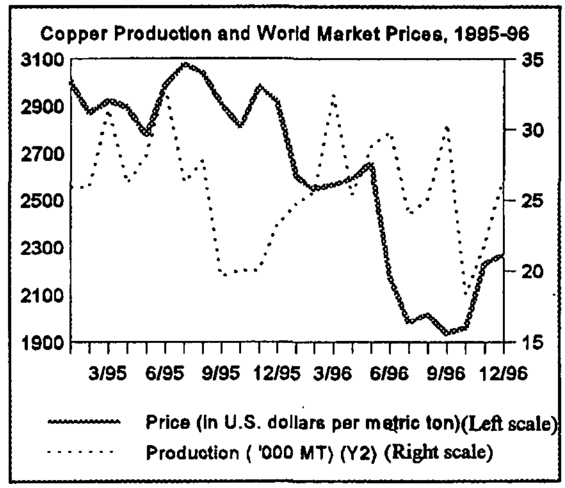
(In billions of kwacha)

	1996			
	Q-I	Q-II	Q-III	Q-IV
Domestic revenue	177	199	201	239
Domestic expenditure (Including arrears/balances)	184	157	202	223
Domestic fiscal surplus (+)	-7	42	-1	16

targets under the staff-monitored program for the second half of 1996.[3] In particular, the target for net international reserves was revised downward, despite a further tightening of financial policies. Also, the inflation and growth targets proved too ambitious as well (see also Appendix I, paragraphs 8-12). While the quantitative targets under the revised staff-monitored program were broadly met in September, government budget performance deteriorated sharply in October, with sizable unbudgeted expenditures on court-awarded compensations and new domestic arrears. In light of these developments, the authorities adopted a special package of adjustment measures aimed at containing expenditure and raising special revenues, mainly vehicle registration fees, privatization receipts, and tax arrears (see Box 1). Notwithstanding a delay in the disbursement of the second tranche of the World Bank's ERIP

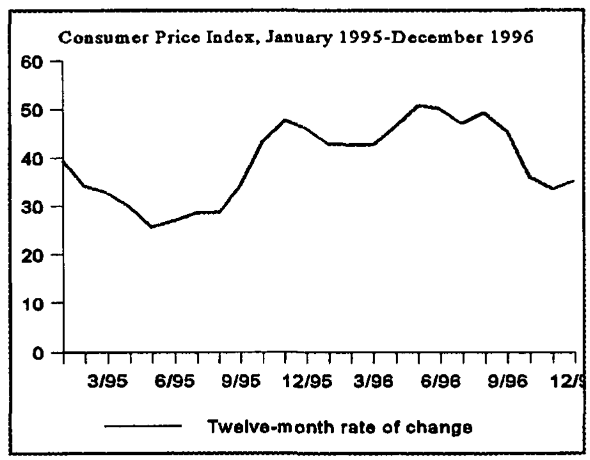
[3] As indicated in EBS/96/181 (11/26/96).

loan (US$70 million),[4] the performance indicators for end-December were observed, with the exception of the limit on the expansion of net domestic assets of the central bank, which was exceeded by a small amount (Appendix I, Table 1).

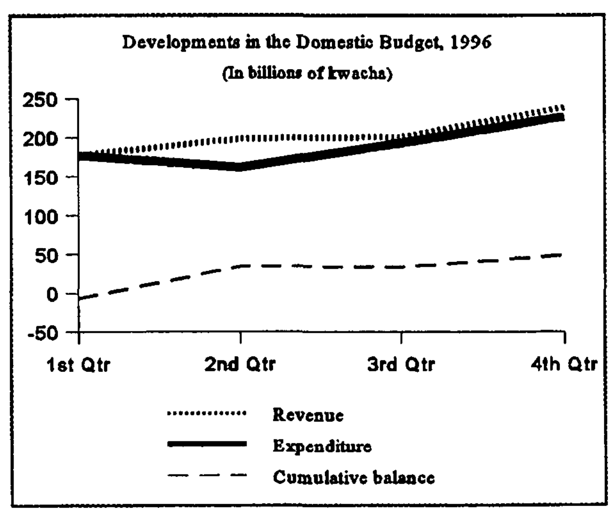


B. Economic and Financial Developments in 1996

8. Economic activity recovered significantly in 1996. Overall, real GDP expanded by an estimated 5 percent, compared with a decline of 4 percent in 1995, buoyed by a 90 percent increase in the maize harvest--resulting from good rains--and a 2 percent increase in copper production (Table 3). Growth was also boosted by a recovery in the financial services sector, following the sizable downturn in 1995 when several major banks were closed. Aided by the sharp downturn in food prices and the tightening of financial policies, consumer price inflation decelerated to an estimated 35 percent for the year ended December 1996, compared with 46 percent in 1995. Nonetheless, the sharp worsening in Zambia's terms of trade (20 percent) offset the gains made in production, with the effect that national income remained constant for the year.



9. Zambia's fiscal adjustment efforts went through ups and downs, as recurrent slippages were subsequently corrected in the course of the year. The uneven performance, most recently in October, largely reflected weaknesses in budget management. Nonetheless, the authorities were able to exceed the targeted domestic fiscal surplus of 0.9 percent of GDP (Tables 4 and 5).



[4] The end-December net international reserves target was exceeded, as higher net export earnings and private capital inflows (US$103 million higher than earlier projected) more than offset the shortfall in World Bank assistance.

10. Total domestic revenue declined by an estimated ½ percentage point of GDP in 1996, mainly on account of lower income taxes and a decline in value-added tax (VAT) receipts (as a share of GDP), as ZCCM was allowed (similar to other exporters) from midyear onwards to claim refunds on the VAT paid on inputs used for exports. The elimination of exemptions and the rationalization of the customs duty structure led to a strong performance of international trade taxes.[5]

11. Total domestic government spending in 1996 was reduced by 3 percentage points of GDP to 14 percent, reflecting a 2 percentage points of GDP decline in non-interest current expenditure (wages, transfers and ministries' running costs) and a 1 percentage point of GDP decline in capital outlays. While undertaking a sizable fiscal consolidation, the authorities were able to maintain their commitment to the World Bank regarding social sector expenditures, with social spending reaching an estimated 34 percent of total expenditures (excluding debt service and foreign-financed investment). Despite continued difficulties in collecting comprehensive information on the outstanding stock of domestic arrears, the authorities cleared all identified arrears in 1996 (see Appendix I, paragraphs 11 and 30).

12. Monetary developments in 1996 were characterized by a strong growth of credit to the private sector (40 percent), most of which occurred during the first half of the year (Tables 6 and 7). As open-market operations proved only partially effective in stemming the strong demand for credit in the first half of the year, the Bank of Zambia (BoZ) increased cash reserve requirements in two steps, from 3 percent in July to 8 percent in December. In addition, core liquid reserve requirements were increased in three steps, from 30 percent in July to 43.5 percent in December. These actions resulted in a deceleration of private sector credit expansion and a virtual stabilization of broad money in the second half of the year (Figure 1). For the year as a whole, broad money rose by 36 percent, compared with 55 percent in 1995, with velocity remaining virtually unchanged. Due to the uncertainties following the policy slippages at end-1995 and the tightening of monetary policies in the second part of the year, the treasury bill rate rose from 42 percent at end-1995 to 58 percent at end-1996 (annualized). As a consequence, in the face of declining inflation over the course of the year, real yields on treasury securities rose significantly, from -3 percent at end-1995 to 16 percent at end-1996 (based on end-of-period inflation).

13. The overall balance of payments strengthened markedly in 1996. While the external current account deficit remained virtually unchanged from 1995, as compressed imports and higher cobalt earnings offset lower copper exports and reduced official transfers, the capital account strengthened as net official disbursements and private capital inflows increased (Table 8). Gross official reserves reached US$207 million at end-1996, or 1.7 months of imports, virtually unchanged from end-1995. Following the 23 percent decline in the U.S. dollar value of the currency in the first half year, the kwacha fluctuated within a narrow range around K 1,270 per U.S. dollar during the remainder of the year. Notwithstanding some

[5]In January 1996, tariffs on most products were lowered by 15 percentage points and their dispersion was narrowed considerably. Of particular importance for tax enforcement was the removal of the exemption of government imports from taxation.

appreciation of the average real effective exchange rate during the year (4 percent), Zambia's external competitiveness remained strong as evidenced by the robust growth of nontraditional exports (Figure 2). The 45 percent surrender requirement with regard to foreign exchange earnings of ZCCM was abolished in April. Notwithstanding the shortfall in external donor assistance, Zambia was able to fulfill its external debt-service obligations [6] and replenish official reserves after a sharp drop in the beginning of the year (Table 9).

14. The authorities continued their efforts to arrive at arrangements with non-Paris Club official creditors on terms comparable to the Paris Club agreement (Appendix I, paragraph 13). They were also seeking settlement on conditions comparable to Naples terms with Camdex, a debt trading company that was assigned a US$127 million debt to the Central Bank of Kuwait. Another court case was filed in October 1996 by the debt trading company Ex-printer International with regard to a US$19 million debt to Lazard Brothers. The authorities are in the process of verifying the amounts of potential claims of creditors that did not participate in the commercial debt buyback scheme, and expect to have a report ready by end-March 1997.

C. Structural Reforms

15. The privatization of ZCCM accelerated appreciably in 1996. The international bidding process was opened in September 1996, and is expected to be completed in February 1997. The target date for sale of most of ZCCM's assets is June 1997 (Box 2). The privatization of nonmining public enterprises also continued at a rapid pace during 1996 (Box 3). Total net privatization receipts amounted to K 27 billion in 1996 (0.5 percent of GDP). The government approved the privatization plan for the Zambia Telecommunications Company (ZAMTEL) in May 1996, which is to be fully privatized by end-1997.

16. A report on ZCCM's current operations--focusing on financing, marketing, and procurement issues--was prepared by an internal audit team in October 1996. It underscored the difficult financial situation of the company, evidenced by the accumulation of payments arrears in recent months (increasing from US$38 million in June to US$98 million in September, and amounting to US$96 million in December). The financial difficulties had been exacerbated by the closing of short-term credit facilities by some of ZCCM's creditors, because of uncertainty over the continued legal actions by Camdex and concerns over the treatment of ZCCM's debt after privatization. The company has been able to secure new short-term financing facilities, but the cashflow situation remains difficult. ZCCM's marketing arrangements have resulted in unfavorable returns for the company because contracts often could not be settled through the company's own supplies and the extensive use of middlemen has proven to be costly. With the initiation of new marketing and sales procedures, which will avoid forward sales that cannot be delivered from ZCCM's own stocks and concentrate on

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[6] The 1996 Paris Club rescheduling agreement is expected to take effect after the completion of the midterm review of the first annual ESAF arrangement. The authorities have continued to comply with the terms of the agreement.

direct sales, it is expected that sale prices will now closely track those of the London Metal Exchange market (see Appendix I, paragraph 21).

Box 2. Privatization of ZCCM

After a long preparatory phase, the privatization of ZCCM accelerated significantly in 1996. On the basis of the Rothschild report (May 1996), it was decided to break up the ZCCM conglomerate into more manageable entities, which include the following:

Units	Status
Nchanga and Nkana Division	Bids to be submitted by February 28,1997
Luanshya Division	Bids to be submitted by February 28,1997
Mufulira underground mine	Bids to be submitted by February 28,1997
Chambishi Copper Mine	Bids to be submitted by February 28,1997
Kansanshi Copper Mine	Sold to Cyprus Amax Minerals (U.S.)
Nampundwe Pyrite Mine	Bids to be submitted by February 28,1997
Chambishi Cobalt Plant	Bids to be submitted by February 28,1997
Ndola Precious Metals Plant	Bids to be submitted by February 28,1997
Power Division	Bids to be submitted by February 28,1997
Konkola Deep	Negotiations underway with Anglo-American
Konkola North	Agreement reached with Anglo-Vaal
Techpro Mining and Metallurgy	Bidding closed on November 29,1996

Anglo-American of South Africa, the 27 percent minority shareholder in ZCCM, has been allowed to exercise its preemptive rights with respect to the Konkola Deep mining package for which negotiations are under way. In addition, an agreement has been reached with another international firm with respect to the Konkola North mining area. The international bidding process for the other packages was opened in September 1996, and is expected to be completed in February 1997. The target date for the sale of most of ZCCM's assets is June 1997. Subsequently, the government plans to float the remaining minority government holdings as stock issues to the general public. The sale of ZCCM's other assets, including nonmining subsidiaries such as the bulk transport fleet, began in September 1996 and should be completed by June 1997.

The sale by international tender of a majority interest in ZCCM's Kansanshi Copper Mine can be regarded as a successful test run. Six bids were submitted in November 1996 and on January 16, 1997, the government signed a sale agreement with Cyprus Amax Minerals, a U.S.-based mining company. At this point it should be noted that for the first four entities listed above an encouragingly large number of companies have prequalified to bid, including a number of key players in the international mining arena.

17. Civil service reform moved ahead slowly in 1996, reflecting the prohibitive cost of retrenchment under the current retirement scheme. Nonetheless, the authorities have, as an interim measure, continued to reduce the size of the civil service through attrition, which has led to a 3 percent reduction in staff since July 1995. Some progress was also made on the reorganization of ministries with the merging of the Ministry of Finance with the National Commission for Development Planning, and the approval of the reorganization and retrenchment plans for 12 ministries.

18. The Bank of Zambia continued to strengthen its banking supervision during 1996 and gazetted regulations on large loan exposure and insider lending in June and on provisioning rules in August. It also increased minimum capital requirements in June and December. Of the eight banks that did not meet the capital requirements in December, one bank is in the process of receiving foreign participation and two have merged, while the five other banks are not sufficiently solvent on the basis of the new standards. The Bank of Zambia is committed to take actions on the banks that do not meet the new capital standards through mergers or liquidation within a reasonable timeframe.

Box 3. Privatization of Nonmining Companies

Zambia's privatization program started with the enactment of the Securities Act in December 1993 and the establishment of the Privatization Trust Fund in June 1994. After the restructuring of the Zambia Privatization Agency (ZPA), the privatization process has accelerated rapidly since June 1995. A cross-country study by the World Bank on the progress of privatization in sub-Saharan Africa commended the performance of Zambia's divestiture program. Zambia rated medium to high on all eight indicators used in the study, including the government's willingness to exit completely from equity ownership of enterprises, fiscal impact, the level of foreign direct investment attracted, transparency, and government commitment.

By the end of December 1996, of the 275 companies and assets in various stages of privatization or liquidation, 155 companies were privatized or liquidated, while negotiations on an additional nine companies were completed or are underway. Apart from the privatization of ZCCM (see Box 2), the largest remaining task entails the privatization of several utilities. In this regard, in May 1996, the government approved a plan for the full privatization of the Zambia Telecommunications Company (ZAMTEL) by end-1997.

Status of Zambia's Privatization Program

	December		
	1994	1995	1996
Privatization deals completed	15	60	155
Negotiations completed		12	4
Heads of agreement signed		30	5
Companies/units privatized	**15**	**102**	**164**
Companies ready/under negotiation	4	24	30
Companies under preparation	32	12	28
Probable liquidation/asset sale		10	25
Memorandum item:			
Total working portfolio under program	**52**	**210**	**275**

Source: Zambia Privatization Agency progress reports.

19. The suspension of bilateral balance of payments assistance in mid-1996 underscored the donors' concerns about good governance, including those related to the presidential elections and alleged corruption. As regards the latter, Parliament enacted legislation in late 1996 that strengthened considerably the Anti-Corruption Commission. In a related move, the staff members of the Loans and Investments Department of the Ministry of Finance and Economic

Development were suspended; and a new national debt office is being created to strengthen financial management in that area. The recent efforts to accelerate the privatization of ZCCM and other changes in the company's operations and personnel have aimed, in part, at reducing avenues for corruption at the mining parastatal.

III. THE OUTLOOK FOR 1997

A. Macroeconomic Framework, 1997-99

20. Laying the basis for sustained economic growth of 5-6 percent a year, while reducing inflation and fostering confidence in the external value of the kwacha, are the main macroeconomic objectives for the period 1997-99. [7] Notwithstanding the sharp drop in prices in 1996, the prospects for copper are not unfavorable over the medium term; production could grow by some 6 percent a year during the period 1997-99, while prices are expected to remain relatively stable at about US$1,970 per ton. Agricultural reforms since 1989 have contributed to significant growth in nontraditional agricultural output in the last few years, including cotton and cotton yarn, oilseeds, horticultural products, wheat, and rice. Strong growth in these sectors is expected to continue if sufficient infrastructure investments are made that support agricultural production, such as improvements in the road system.

21. An appropriately tight monetary policy stance should reduce inflation progressively from 35 percent in 1996 (end-of-year basis) to 15 percent in 1997, and 4 percent in 1999. This should be supported by a fiscal policy stance aimed at achieving domestic fiscal surpluses of about 1 percent of GDP annually over the period, which would allow a gradual reduction of domestic debt.

22. Achieving sustainable growth rates of 5-6 percent over the medium term will require a continuation of structural reforms aimed at liberalizing the economy, promoting private sector development, and enhancing the efficiency and transparency of the public sector. To that end, the privatization of ZCCM, and other state enterprises, the improvement in infrastructure for agricultural development, the elimination of trade barriers, and the reform of the civil service will constitute essential elements of a medium-term strategy.

B. The Budget for 1997

23. The main objectives of fiscal policy in 1997 are a reduction in inflation and a reconfiguring of the expenditure profile toward high priority sectors. A restrained overall fiscal policy stance, aimed at generating a domestic fiscal surplus equivalent to 1 percent of

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[7] The medium-term objectives are broadly in line with those described in the staff report for the 1996 Article IV consultation (EBS/96/104), with the exception of inflation which is expected to fall more slowly given the outcome for 1996 and Zambia's external terms of trade, which are expected to stabilize, following the sizable drop in world copper prices in 1996.

GDP, will be important for lowering inflationary expectations (Box 4). An important element in the government's anti-inflation policy will also be a firm control over the wage bill, which will permit only a moderate increase in civil service wages. The budget in the recent period has given rise to problems of expenditure control, unforeseen outlays, and revenue shortfalls. This has complicated the maintenance of an appropriate fiscal stance. To cope better with these contingencies, the authorities have decided to establish a contingency reserve of K 100 billion (about 10 percent of revenue), which will be used, if necessary, to fund higher-than-projected payments on domestic interest and arrears, and to deal with shortfalls in revenue (see Appendix I, paragraph 29).

Box 4. Summary of the 1997 Fiscal Measures 1/

(Change from previous year; in percentage points of GDP)

Domestic fiscal surplus	0.0
Domestic expenditure	-0.7
Current expenditure	-1.6
Cuts	-1.8
Interest, lower domestic interest rates	-1.0
Current agricultural expenditures	-0.2
Wages, continued retrenchment policy	-0.2
Other current expenditures	-0.4
Increases	0.2
Pensions and transfers	0.2
Capital expenditure - to enhance priority expenditures	0.9
Contingency reserve	1.6
Change in domestic arrears (reflects clearance in 1996)	-1.0
Domestic revenue (excluding temporary privatization receipts)	0.2
Lower VAT receipts	-0.7
Non-adjustment of income tax brackets for inflation	0.5
Increased excise taxes	0.1
Increased trade taxes (excluding VAT)	0.3
Increased nontax revenue	0.2
Privatization receipts 2/	-0.4

1/ Domestic fiscal balance. Totals may not add, due to rounding.

2/ The investment-led privatization of the copper mining parastatal is not expected to lead to sizable government revenue in 1997 as the government's retained share holdings in the new companies will not be offered to the public until 1998.

24. Notwithstanding a reduction in the VAT rate from 20 percent to 17.5 percent as of July 1997, domestic revenue (excluding privatization receipts) is expected to increase from 15.8 percent of GDP in 1996 to 16.0 percent in 1997, thanks to higher expected income taxes, increased trade tax revenue, and the introduction and increase of fees related to vehicle registration and driver's licenses (see Appendix I, paragraph 27). Domestically financed investment is projected to increase from 1 percent of GDP in 1996 to 2 percent in 1997. Further, the government wage bill will be limited to K 259 billion, an increase of 17 percent from 1996. The authorities expect to limit the per worker wage award in 1997 to K 10,000 (effective as of September 1996) with a possible additional increment, provided it could be accommodated within the overall wage bill ceiling. Also, the size of the civil service will be further reduced through attrition as well as voluntary and involuntary departures. In this regard, a retrenchment package will be presented to Cabinet by the end of April 1997. To reduce the cost of retrenchment, the government will introduce changes, if necessary, to the regulations governing retirement benefits.

25. The external financing of the budget is still subject to uncertainty. The total external financing requirement for 1997, after Paris Club debt relief, is projected at US$156 million. Of this amount, US$123 million is expected from the World Bank on the basis of committed resources. In the period ahead, the authorities are expected to intensify the dialogue with bilateral donors with a view to mobilizing the needed support for Zambia's adjustment effort.

IV. Medium-Term Financing and Capacity to Repay the Fund

26. The baseline scenario presented in Table 8 shows that even with a continued strong macroeconomic performance, Zambia's balance of payments prospects will remain difficult. The recent terms of trade shocks make the medium-term financing problems even more pronounced. An updated debt sustainability analysis (Appendix IV) illustrates the heavy debt-service burden over the next decade, with a ratio of the present value of debt to exports exceeding 200 percent until 2009. The ratio of debt service to exports is expected to increase to well over 20 percent in 2001, when repayments of SAF/ESAF loans begin, and will not fall below that level before 2006. Repayments of the SAF/ESAF loans, which begin in 2001, are likely to be in the range of 13-18 percent of exports of goods and services each year during the period 2001-05. Accordingly, Zambia's capacity to repay the Fund will be highly dependent on its ability to sustain the adjustment effort, to substantially improve its export prospects, and to continue receiving generous external assistance.

V. Request for Waivers

27. The facts related to the nonobservance of the six performance criteria at end-December 1996 are presented in paragraphs 31-35 of the attached letter (Appendix I). The government has made progress in 1996 in addressing the problems that caused the nonobservance of these criteria, particularly with respect to increased control over central bank overdrafts, and improved operations at ZCCM. The authorities have also demonstrated their resolve to keep the program on course over the last year, and all the prior actions for the completion of the midterm review were implemented. These combined efforts, in addition to the efforts made to strengthen policy performance over the March-December 1996 period, provide a strong basis for the authorities' request for waivers in the attached letter.

VI. Staff Appraisal

28. With renewed efforts by the Zambian authorities, macroeconomic performance has improved in 1996. Real GDP growth has turned positive and inflation has slowed, falling to its lowest level in more than a decade. Notwithstanding recurrent spending overruns, the government achieved a strengthening of the fiscal position in 1996: the overall domestic surplus rose to 1 percent of GDP in 1996, from 0.2 percent in 1995. Also, after excessive monetary expansion in the first six months of the year, monetary policy was tightened, resulting in a stabilization of net domestic assets of the central bank, broad money, and the

exchange rate. In the process, the authorities have laid the basis for further macroeconomic stabilization in 1997.

29. There was also progress in structural reform. ZCCM management took measures to abolish loss-making marketing techniques, and the privatization of the company is well under way. Also, 62 small and medium-sized companies were privatized in 1996 according to schedule. The import tariff system was rationalized and liberalized, and the 45 percent surrender requirement with regard to foreign exchange earnings of the ZCCM was abolished. The Bank of Zambia was recapitalized, and supervision of commercial banks was strengthened. Further, a revised Bank of Zambia Act was approved by Parliament in October, with provisions that strengthen the role of the central bank. However, the staff regrets that the legislation did not provide for greater independence of the bank in its conduct of monetary policy. Much will depend on whether the central bank will be allowed to exercise de facto its necessary independence. Finally, recent legislation granting increased powers and autonomy to the Anti-Corruption Commission is welcome, which will allow for decisive actions, when necessary.

30. There are, however, areas where a strengthening of policy is urgently needed. First, much of the fiscal adjustment in 1996 was achieved by reducing ministries' current outlays and domestically financed capital expenditure to levels that are not sustainable. The resulting shift in the composition of domestic expenditure, with an increasing share of the wage bill in total expenditure in 1996 needs to be reversed by reducing the size of the civil service and limiting pay increases. In this regard, the staff welcomes the government's commitment to limit the wage bill to K 259 billion in 1997, which is consistent with the aim of reducing inflationary pressures. Second, the swings in performance in 1996 have been a cause for concern, as they have undermined the credibility of the adjustment effort. Developments in 1996 have shown that control over expenditures is inadequate. It is expected that performance in 1997 will avoid these swings, as the K 100 billion contingency reserve will allow the government to better cope with revenue shortfalls and unexpected payment obligations. At the same time, the authorities need to strengthen expenditure control mechanisms, and to address the continuing problem of domestic arrears. In this regard, the staff urges the authorities to implement without delay the recommendations of a recent FAD mission. Finally, notwithstanding recent improvements, the situation of many commercial banks remains fragile, and the Bank of Zambia will need to be able to exercise its supervisory functions without outside interference. To rebuild the necessary confidence in the banking system, it should move forcefully with respect to banks that do not meet the capital adequacy requirements by restructuring, merging, or closing them within a reasonable timeframe.

31. Zambia needs to make further progress in structural adjustment and macroeconomic stabilization to improve the prospects for higher economic growth. The medium-term fiscal objectives are ambitious but attainable, although a further strengthening of the revenue mobilization effort will be important if priority social and infrastructure expenditures are to be raised. While much of the external financing needed for that growth will eventually come from private sources, for the immediate future Zambia will remain highly dependent on donor support. Thus, the authorities should make every effort to intensify the dialogue with bilateral donors and restore the partnership.

32. Overall, Zambia has made appreciable efforts to correct the policy slippages that occurred around the end of 1995 and in October 1996. Thus, it has met a fundamental condition for completion of the midterm review--broad observance of the end-June, end-September, and end-December targets. It is expected that the specific conditions for the disbursement of the pending ERIP tranche will be met in the coming weeks. Also, the authorities have indicated their determination to make special efforts to improve their relations with bilateral donors, in order to facilitate the resumption of donor support for their continued adjustment efforts. Accordingly, the staff recommends completion of the midterm review under the first annual ESAF arrangement and the granting of waivers for the nonobservance of six performance criteria for end-December 1995 (as described in Appendix I, paragraphs 31-35).

VII. Proposed Decision

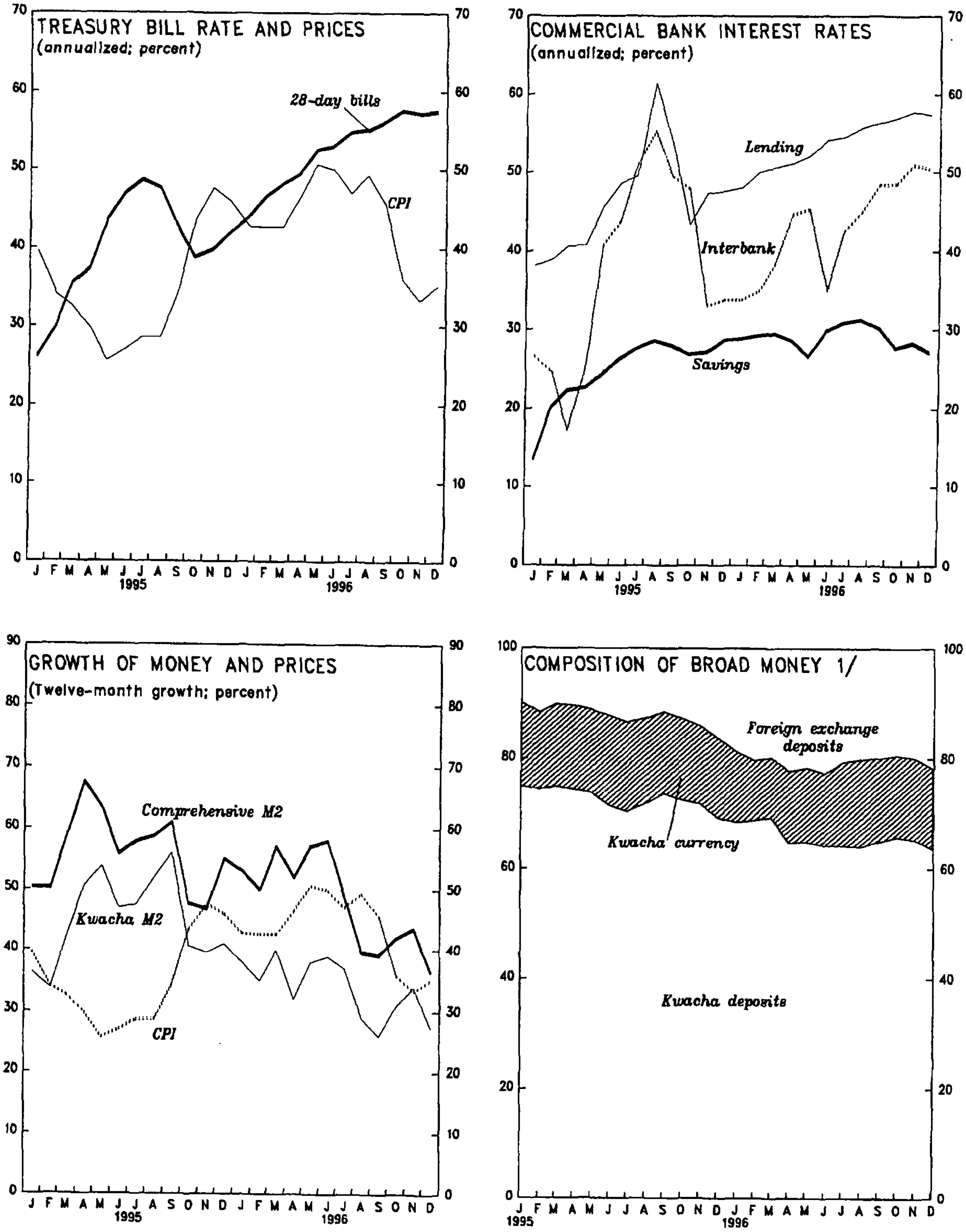
The following draft decision is proposed for adoption by the Executive Board:

1. Zambia has consulted with the Fund in accordance with paragraph 2(d) of the first annual arrangement under the Enhanced Structural Adjustment Facility (ESAF) for Zambia (EBS/95/189, Supplement 8, 12/11/95).

2. The letter from the Minister of Finance and Economic Development dated February 12, 1997, together with the attached table, shall be attached to the first annual ESAF arrangement for Zambia, and the letters from the Minister of Finance dated November 21 and December 1, 1995, together with attached memoranda and tables, shall be read as supplemented and modified by the letter of February 12, 1997.

3. The Fund determines that the midterm review contemplated in paragraph 2(d) of the first annual ESAF arrangement for Zambia has been completed and that, notwithstanding the nonobservance of the end-December 1995 quantitative performance criteria on the net domestic assets of the Bank of Zambia, net claims on the government, net international reserves, domestic arrears of the government and external payments arrears, and of the structural performance criterion on the gazetting of regulations on foreign exchange exposure by December 31, 1995, referred to in paragraphs 2(a) and 2(b) of the first annual ESAF arrangement, Zambia may request the disbursement of the second loan specified in paragraph 1(c)(ii) of that arrangement.

Figure 1
ZAMBIA
SELECTED MONETARY INDICATORS
1995-96

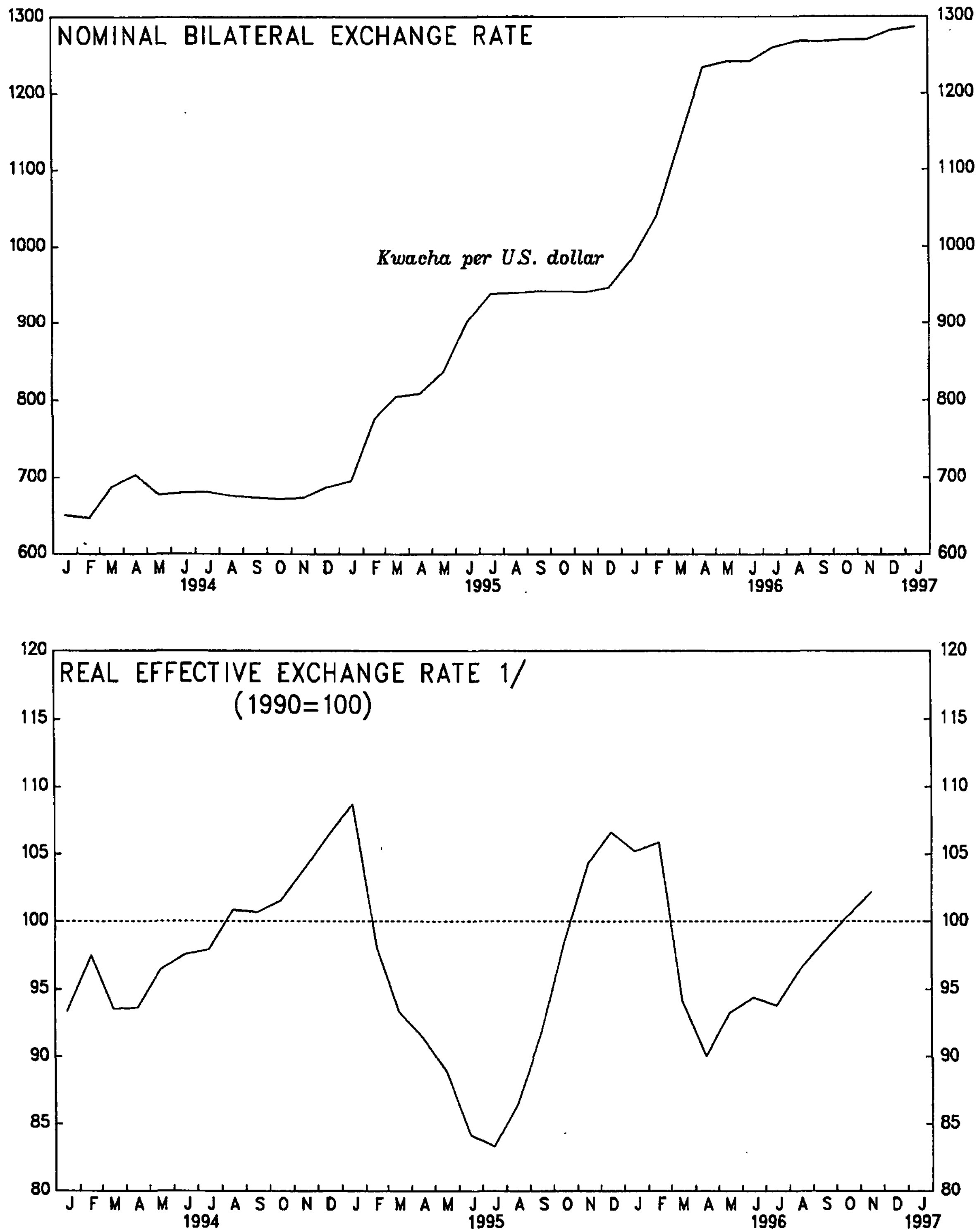


Sources: Bank of Zambia; and Ministry of Finance.

1/ As a share of total broad money.

Figure 2

ZAMBIA
SELECTED EXCHANGE RATE INDICATORS
JANUARY 1994 - JANUARY 1997



Source: IMF, Information Notice System; and Fund staff estimates.

1/ Weighted by total trade. A rise in the index indicates a real appreciation of the Kwacha.

Table 1. Zambia: Performance Criteria and Benchmarks Under the First Annual ESAF Arrangement, 1995/96

	1995						1996	
	June	Sept.		December			March	June
	Act.	Benchmark	Act.	Perf. crit.	Adj. perf. crit. 2,3/	Act. 4/	Benchmarks	
Quantitative Performance Criteria and Benchmarks								
				(In millions of kwacha)				
Net domestic assets of the Bank of Zambia (ceiling) 1/	855,121	821,336	807,819	816,953	816,953	839,080	812,334	805,22
Net claims on government (ceiling)	86,359	111,662	101,006	95,449	86,413	89,740	82,390	75,548
Domestic arrears of government (ceiling)	29,654	11,500	22,954	0	0	11,000	0	0
Budgetary expenditure for debt swaps (ceiling)	0	0	0	0	0	0	0	0
				(In millions of U.S. dollars)				
Net international reserves (floor)	-1,120.4	-1,072.5	-1,040.8	-1,059.5	-1,052.2	-1,082.5	-1,046.5	-1,033.5
Stock of short-term debt (ceiling)	281.7	239.7	218.1	211.7	211.7	183.3	183.7	180.7
New external payments arrears	0	0	0	0	0	7.3	0	0
New external medium- or long-term loan commitments	0	0	0	0	0	0	0	0
				(Number of persons)				
Size of the civil service (benchmark)	125,000	124,375	124,404	123,750	123,750	123,352	123,125	122,500

Other Structural Performance Criteria	Date	Status
Pass-through of cost changes to petroleum prices	Ongoing	Observed
Gazetting of regulations on foreign exchange exposure	December 31, 1995	Not observed Gazetted March 22, 1996
Other Structural Benchmarks		
Preparation of plan addressing cost of retrenchment and downsizing of civil service	December 31, 1995	Observed
Preparation of plan to recapitalize the Bank of Zambia	December 31, 1995	Observed

1/ Defined as reserve money less net international reserves valued at the program exchange rate of K 683/U.S. dollar.
2/ No adjustment required for NDA and NIR under the copper contingency mechanism; NIR adjusted upward by US$7.3 million in new external payments arrears.
3/ NCG adjusted upward for valuation change in foreign exchange loan from Bank of Zambia; for decrease in nonbank holdings of debt; and for interest on sterilization treasury bills. Adjusted downward for amount of excess copper earnings required to be sterilized under the copper contingency mechanism; and kwacha value of new external payment arrears.
4/ The amount for NIR excludes US$7.2 million in an account attached by court order during 1995 and removed from gross reserves.

Table 2. Zambia: Key Policy Actions in 1996

	ZCCM	Implementation
1.	Cabinet and ZCCM Board approval of ZCCM privatization plan.	May/June
2.	Progress report on ZCCM operations and reforms, including revised estimates of monthly production and sales for 1996.	October
3.	Progress on negotiations regarding Konkola Deep.	Ongoing
	Tax administration and expenditure control	
4.	Verification of outstanding stock of domestic arrears and establishment of a schedule for their clearance by the end of 1996.	July
5.	Issuance of circular explaining procedures of commitments monitoring system.	June
6.	Improvement of cross-checking with South African and Zimbabwean customs.	Ongoing
	Monetary sector	
7.	Gazetting of regulations on large credit exposure and connected lending.	June
8.	Recapitalization of Bank of Zambia.	June
9.	No unsecured overdrafts provided to commercial banks by the Bank of Zambia.	Ongoing
10.	Forwarding of monetary survey and balance sheets of the Bank of Zambia and the commercial banks to Fund Headquarters on a monthly basis within four weeks after the end of each month, beginning with the month of April.	Ongoing
11.	Gazetting of regulations on provisioning.	August
12.	Enactment of Bank of Zambia Act.	January 1997
	External sector	
13.	Further strengthening of external debt-service monitoring and implementation.	Ongoing
14.	Progress report on the status of negotiations with non-Paris Club bilateral creditors.	October
	Statistical issues	
15.	Progress report on the implementation of the Fund multisector statistics mission's recommendations.	July

Table 3. Zambia: Selected Economic and Financial Indicators, 1995–99

	1995	1996 Projection 1/	1996 Est.	1997 Projections	1998 Projections	1999 Projections
	(Annual percentage change, unless otherwise indicated)					
National income and prices						
Real GDP	−3.9	6.0	5.0	5.5	5.5	5.5
GDP deflator	47.4	16.6	35.6	15.0	11.5	5.9
Consumer prices (annual average)	34.9	19.1	43.1	22.1	11.6	5.3
Consumer prices (end of period)	46.0	10.0	35.2	15.0	8.0	4.0
Nominal GDP (in billions of kwacha)	3,522	3,844	5,016	6,086	7,159	7,998
Copper production ('000 MT)	308	325	314	335	350	375
External sector						
Exports of goods and services	9.1	−1.1	−2.8	8.7	5.0	9.0
Of which: copper	13.4	−6.4	−26.9	−0.5	2.4	8.8
Imports of goods and services	22.9	0.9	−6.5	7.1	11.0	9.9
Export volume	−6.3	5.1	6.0	13.8	5.3	7.4
Import volume	7.7	5.4	0.2	8.5	12.7	9.3
Copper export volume	−9.2	−0.6	−5.2	8.1	4.5	7.1
Copper exports ('000 MT)	327	325	310	335	350	375
Copper export prices (avg, US$/MT.)	2,712	2,535	2,138	1,984	1,940	1,984
Nominal effective exchange rate	−18.4	...	−26.4	...	...	...
Real effective exchange rate	−4.1	...	3.8	...	...	...
Average official exchange rate (K/US$) 2/	866	...	1,208	...	...	...
Terms of trade	8.9	−7.6	−20.4	−7.1	−1.0	0.5
Money and credit						
Net domestic assets	57.1	−3.2	27.3	3.5	2.8	0.5
Net domestic credit	60.4	...	34.1	12.6	9.4	1.6
Net claims on government	23.8	−42.3	12.9	−47.1		...
Claims on nongovernment	79.6	...	40.4	27.0	22.7	11.4
Broad money	55.3	10.0	36.3	17.0	13.9	9.7
Velocity 3/	7.8	...	7.7	7.6	7.8	7.8
Official bank rate (percent, end of period)	51.5	...	69.5	...	...	...
Treasury bill rate (percent, end of period)	42.0	...	57.5	...	...	...
Central government budget						
Revenue excluding grants	34.4	5.1	37.1	20.0	22.3	17.0
Grants	30.1	−14.4	−17.8	−25.8	78.2	−4.0
Expenditure and net lending	29.1	−2.8	11.4	27.1	19.2	12.4
Current expenditure	29.2	−4.6	3.0	12.2	18.0	14.8
Capital expenditure	28.5	7.5	50.1	31.4	29.9	10.6
	(In percent of GDP)					
Investment and savings						
Gross national savings 4/	6.9	8.2	5.9	5.9	5.8	6.4
Gross domestic investment	13.0	14.5	11.9	12.6	13.3	14.1
Central government budget						
Revenue and grants	21.3	22.3	18.8	17.7	19.1	19.6
Grants	4.4	4.0	2.6	1.6	2.4	2.0
Expenditures (excluding interest) 5/	17.7	17.3	15.5	17.0	18.2	19.2
Interest due 6/	6.9	7.7	3.7	3.1	2.5	1.8
Primary balance, cash basis 7/	5.7	...	4.0	2.4	2.6	2.0
Overall balance, cash basis 7/	−1.3	...	0.2	−0.7	0.1	0.2
External sector						
Current account balance	−6.1	−6.4	−6.0	−6.7	−7.5	−7.7
	(In percent of exports of goods and services)					
External debt						
External debt service before rescheduling	44.4	34.7	39.8	29.7	25.3	26.8
External debt service after rescheduling	27.3	34.7	24.7	19.0	15.4	11.3
External program assistance	23.6	17.0	11.4	9.1	9.6	8.1
Net present value of total debt 8/	403	319	331	324	326	299
	(In millions of US dollars)					
Current account balance	−246	−246	−248	−287	−337	−366
Overall balance of payments	−216	−152	−105	−132	−134	−139
Gross official reserves (end of period)	208	385	207	287	337	387
in months of imports of goods and services	1.7	2.9	1.7	2.2	2.3	2.4

Sources: Data provided by the Zambian authorities; and staff estimates.

1/ Original projections for 1996 as presented in EBS/95/189.
2/ Official mid–rate of the Bank of Zambia.
3/ GDP/average broad money.
4/ Gross domestic savings plus unrequited transfers from abroad minus net external payments of factor income.
5/ Including contingency reserve (1997–99).
6/ After debt relief.
7/ Including program grants, excluding foreign–financed investment.
8/ Assuming a continuous flow rescheduling of pre–cutoff Paris Club debt at Naples terms.

Table 4. Zambia: Central Government Operations, 1995–99 1/

	1995	1996 Est.	1997	1998	1999
			Projections		
		(In billions of kwacha)			
REVENUE AND GRANTS	752	945	1,075	1,368	1,564
Revenue	596	817	980	1,198	1,402
Tax revenue	546	752	920	1,118	1,305
Company income tax	38	45	55	71	85
Personal income tax	134	177	241	300	342
PAYE	105	135	193	240	270
Withholding tax	29	42	48	60	72
Excise taxes	85	127	158	203	238
Sales tax/VAT	108	137	143	166	187
Trade taxes	163	243	293	343	413
VAT on imports	...	110	131	165	198
Import tariffs	...	98	121	178	215
Import declaration fee	...	36	42	0	0
Extraction royalty	18	23	30	36	41
Nontax revenue	50	65	60	81	97
Fees and charges	17	12	30	38	48
Privatization receipts	12	27	5	10	10
Other exceptional receipts	20	26	25	32	39
Grants	156	128	95	169	162
Of which: project grants	41	101	95	106	112
EXPENDITURES	866	965	1,127	1,365	1,551
Current expenditures	712	733	823	970	1,114
Wages and salaries	178	221	259	304	340
Recurrent departmental charges	101	120	145	219	302
Transfers and pensions	107	96	130	169	205
Agricultural expenditure	26	30	24	0	0
Interest on public debt	244	188	191	178	145
Domestic debt	77	122	84	42	34
External debt 2/	167	66	107	135	111
Other current expenditures	57	79	74	101	123
Capital expenditures	154	231	304	395	437
Domestically financed	58	41	102	166	191
Foreign financed	96	190	202	228	246
CONTINGENCY	0	0	100	118	131
FINANCING	115	20	105	53	84
Domestic financing	8	−45	−62	−68	−66
Bank of Zambia	...	6	−49	−46	−22
Commercial banks	...	6	0	−21	−44
Non-bank financing	−4	1	−13	0	0
Change in domestic arrears, net	2	−51	0	0	0
Change balances, net	14	−7	0	0	0
External financing	108	65	167	121	150
Program loans	114	144	175	152	143
Project loans	55	89	107	123	134
Amortization due 2/	−179	−144	−115	−155	−127
Change in external arrears, net 2/	118	−25	0	0	0
Financing gap	−0	0	47	62	34
Memorandum items:			(In percent of GDP)		
Overall domestic balance, cash basis (billions of kwacha)	8	49	62	79	76
Revenue and grants	21.3	18.8	17.7	19.1	19.6
Revenue, excluding grants and privatization receipts	16.6	15.7	16.0	16.6	17.4
Current expenditures (excluding interest)	13.3	10.9	10.4	11.1	12.1
Interest due 2/	6.9	3.7	3.1	2.5	1.8
Capital expenditures	4.4	4.6	5.0	5.5	5.5
Primary balance 3/	2.0	4.6	2.4	1.7	1.4
Overall balance 3/	−5.0	0.8	−0.7	−0.8	−0.4
Overall domestic balance, cash basis 4/	0.2	1.0	1.0	1.1	1.0
Primary domestic balance, cash basis 4/	2.4	3.4	2.4	1.7	1.4
Defense expenditures	1.4	0.9	1.0	0.9	0.9
Ext. interest due before debt relief (billions of kwacha)	183	217	281	313	300
Ext. amortization due before debt relief (billions of kwacha)	190	209	166	179	333

Sources: Data provided by the Zambian authorities; and staff estimates

1/ The presentation of fiscal data in this table differs from the presentation in the request for an extension of the first annual ESAF arrangement, because it includes external debt service, external financing, and foreign-financed capital expenditure. Also, privatization receipts are presented as a revenue item instead of a financing item.
2/ After debt relief.
3/ Excluding program grants and foreign financed investment.
4/ Including transfers of public enterprises, change in domestic arrears, and change in balances.

Table 5. Zambia: Central Government Operations, 1995–99

	1995	1996 Est.	1997	1998	1999
			Projections		
		(In percent of GDP)			
REVENUE AND GRANTS	21.3	18.8	17.7	19.1	19.6
Revenue	16.9	16.3	16.1	16.7	17.5
Tax revenue	15.5	15.0	15.1	15.6	16.3
Company income tax	1.1	0.9	0.9	1.0	1.1
Personal income tax	3.8	3.5	4.0	4.2	4.3
PAYE	3.0	2.7	3.2	3.4	3.4
Withholding tax	0.8	0.8	0.8	0.8	0.9
Excise taxes	2.4	2.5	2.6	2.8	3.0
Sales tax/VAT	3.1	2.7	2.3	2.3	2.3
Trade taxes	4.6	4.9	4.8	4.8	5.2
VAT on imports	...	2.2	2.2	2.3	2.5
Import tariffs	...	1.9	2.0	2.5	2.7
Import Declaration Fee	...	0.7	0.7	0.0	0.0
Extraction royalty	0.5	0.5	0.5	0.5	0.5
Nontax revenue	1.4	1.3	1.0	1.1	1.2
User fees and charges	0.5	0.2	0.5	0.5	0.6
Privatization receipts	0.4	0.5	0.1	0.1	0.1
Other exceptional receipts	0.6	0.5	0.4	0.4	0.5
Grants	4.4	2.6	1.6	2.4	2.0
Of which: project grants	1.2	2.0	1.6	1.5	1.4
EXPENDITURES	24.6	19.2	18.5	19.1	19.4
Current expenditures	20.2	14.6	13.5	13.6	13.9
Wages and salaries	5.1	4.4	4.2	4.2	4.2
Recurrent departmental charges	2.9	2.4	2.4	3.1	3.8
Transfers and pensions	3.0	1.9	2.1	2.4	2.6
Agricultural expenditure	0.7	0.6	0.4	0.0	0.0
Interest on public debt	6.9	3.7	3.1	2.5	1.8
Domestic debt	2.2	2.4	1.4	0.6	0.4
External debt	4.7	1.3	1.8	1.9	1.4
Other current expenditures	1.6	1.6	1.2	1.4	1.5
Capital expenditures	4.4	4.6	5.0	5.5	5.5
Domestically financed	1.7	0.8	1.7	2.3	2.4
Foreign financed	2.7	3.8	3.3	3.2	3.1
CONTINGENCY	0.0	0.0	1.6	1.6	1.6
FINANCING	3.3	0.4	1.7	0.7	1.1
Domestic financing	0.2	−0.9	−1.0	−0.9	−0.8
Bank of Zambia	...	0.1	−0.8	−0.6	−0.3
Commercial banks	...	0.1	0.0	−0.3	−0.6
Non−bank financing	−0.1	0.0	−0.2	0.0	0.0
Change in domestic arrears, net	0.1	−1.0	0.0	0.0	0.0
Change balances, net	0.4	−0.1	0.0	0.0	0.0
External financing	3.1	1.3	2.7	1.7	1.9
Program loans	3.2	2.9	2.9	2.1	1.8
Project loans	1.5	1.8	1.8	1.7	1.7
Amortization due	−5.1	−2.9	−1.9	−2.2	−1.6
Change in external arrears, net	3.3	−0.5	0.0	0.0	0.0
Financing gap	−0.0	0.0	0.8	0.9	0.4

Sources: Data provided by the Zambian authorities; and staff estimates.

Table 6. Zambia: Monetary survey, 1995–99

	1995	1996				1997				1998	1999
	Dec.	March Actual	June Actual	Sept. Actual	Dec. Actual	March Proj.	June Proj.	Sept. Proj.	Dec. Proj.	Dec. Proj.	Dec. Proj.
	(In billions of kwacha)										
Net foreign assets	−985	−1,246	−1,164	−1,252	−1,205	−1,163	−1,125	−1,151	−1,147	−1,083	−998
Bank of Zambia	−1,092	−1,409	−1,408	−1,425	−1,382	−1,336	−1,305	−1,311	−1,335	−1,308	−1,244
Assets	200	190	206	217	283	347	397	391	386	450	514
Liabilities	−1,293	−1,600	−1,614	−1,641	−1,665	−1,683	−1,702	−1,702	−1,721	−1,758	−1,758
Of which: IMF	−1,181	−1,464	−1,495	−1,529	−1,552	−1,571	−1,589	−1,589	−1,608	−1,645	−1,645
Commercial banks	107	164	244	173	176	173	180	160	188	225	245
Assets	117	172	256	186	191	188	194	174	202	239	260
Liabilities	−9	−8	−12	−13	−14	−14	−14	−14	−14	−14	−14
Net domestic assets	1,526	1,842	1,864	1,953	1,942	1,931	1,931	1,995	2,009	2,066	2,076
Net domestic credit	398	486	496	573	533	522	522	585	600	656	667
Net claims on government	92	143	105	153	104	58	21	50	55	−13	−78
Claims on government	296	312	314	376	363	221	226	243	275	207	142
Government deposits	−204	−168	−210	−223	−259	−163	−205	−193	−220	−220	−220
Claims on nongovernment	306	343	391	420	429	464	501	536	545	669	745
Other items, net	1,128	1,356	1,369	1,380	1,409	1,409	1,409	1,409	1,409	1,409	1,409
Broad money	541	597	700	701	737	768	806	843	862	982	1,078
Narrow money	228	232	264	284	280	292	306	321	328	373	410
Quasi−money	312	365	436	417	457	476	500	523	535	609	668
Of which: forex deposits	88	119	159	138	161	168	176	184	188	214	235
	(12 month percentage change)										
Net foreign assets	−58.2	...	...	...	−22.4	6.6	3.3	8.0	4.8	5.6	7.8
Net domestic assets	57.1	...	...	...	27.3	4.8	3.6	2.2	3.5	2.8	0.5
Net domestic credit	60.4	...	...	...	34.1	7.4	5.3	2.2	12.6	9.4	1.6
Net claims on government	23.8	...	...	...	12.9	−59.6	−80.1	−67.7	−47.1	...	...
Claims on nongovernment	79.6	...	...	...	40.4	35.4	28.3	27.7	27.0	22.7	11.4
Other items, net	56.0	...	...	...	24.9	3.9	3.0	2.2	0.0	0.0	0.0
Broad money	55.3	...	...	...	36.3	28.7	15.2	20.3	17.0	13.9	9.7
Narrow money	57.2	...	...	...	22.7	26.0	16.0	12.8	17.0	13.9	9.7
Quasi−money	53.2	...	...	...	46.3	30.5	14.7	25.5	17.0	13.9	9.7
Of which: forex deposits	209.7	...	...	...	83.9	40.5	10.8	33.1	17.0	13.9	9.7
	(Change in percent of beginning−of−year broad money)										
Net foreign assets	−84.3	−48.1	−33.1	−49.3	−40.7	5.8	10.9	7.4	7.9	7.4	8.6
Net domestic assets	139.6	58.5	62.5	78.9	77.0	−1.5	−1.5	7.1	9.1	6.5	1.1
Net domestic credit	43.0	16.4	18.1	32.4	25.0	−1.5	−1.5	7.1	9.1	6.5	1.1
Net claims on government	1.9	9.5	2.4	11.3	2.2	−6.2	−11.2	−7.4	−6.6	−7.9	−6.6
Claims on nongovernment	41.1	6.9	15.7	21.1	22.8	4.7	9.8	14.5	15.7	14.4	7.7
Other items, net	96.6	42.1	44.4	46.5	51.9	0.0	0.0	0.0	0.0	0.0	0.0
Broad money	55.3	10.4	29.4	29.6	36.3	4.3	9.3	14.4	17.0	13.9	9.7
Narrow money	24.1	0.6	6.6	10.3	9.6	1.6	3.6	5.5	6.5	5.3	3.7
Quasi−money	31.2	9.7	22.8	19.3	26.7	2.6	5.8	9.0	10.5	8.6	6.0
Of which: forex deposits	17.0	5.9	13.2	9.4	13.6	0.9	2.0	3.2	3.7	3.0	2.1
<u>Memorandum items:</u>											
Forex deposits in % of broad money	16.2	20.0	22.7	19.7	21.8	21.8	21.8	21.8	21.8	21.8	21.8
Money multiplier 1/	5.1	6.8	5.7	4.6	4.3	4.4	4.4	4.4	4.4	5.2	5.2
Money multiplier (kwacha only) 1/	4.3	5.5	4.6	3.9	3.6	3.6	3.6	3.6	3.6	4.2	4.2
Currency/deposit ratio (kwacha)	52.9	41.7	52.2	64.8	...	...	...	...	...	...	...
Velocity (GDP/average broad money)	7.8	...	...	...	7.7	...	...	...	7.6	7.8	7.8

Sources: Data provided by the Zambian authorities; and staff estimates.

1/ Ratio of broad money to reserve money.

Table 7. Zambia: Assets and Liabilities of the Bank of Zambia, 1995–99

	1995	1996				1997				1998	1999
	Dec.	March Actual	June Actual	Sept. Actual	Dec. Actual	March Proj.	June Proj.	Sept. Proj.	Dec. Proj.	Proj.	Proj.
					(In billions of kwacha)						
Net international reserves	−1,092	−1,409	−1,408	−1,425	−1,382	−1,336	−1,305	−1,311	−1,335	−1,308	−1,244
Assets	200	190	206	217	283	347	397	391	386	450	514
Liabilities	−1,293	−1,600	−1,614	−1,641	−1,665	−1,683	−1,702	−1,702	−1,721	−1,758	−1,758
Of which: IMF (net)	−1,181	−1,464	−1,495	−1,529	−1,552	−1,571	−1,589	−1,589	−1,608	−1,645	−1,645
Net domestic assets	1,198	1,497	1,530	1,577	1,552	1,512	1,490	1,505	1,533	1,497	1,451
Net domestic credit	79	141	122	157	132	92	70	85	113	77	31
Net claims on government	−58	5	−28	1	−52	−98	−135	−106	−101	−147	−169
Claims on government	102	127	136	184	158	24	30	77	109	63	41
Government deposits	−160	−122	−165	−183	−210	−122	−165	−183	−210	−210	−210
Claims on nongovernment	137	136	150	156	184	190	205	191	214	224	200
Of which: claims on banks	122	120	125	156	159	165	180	166	189	199	175
Other items, net	1,119	1,356	1,408	1,420	1,420	1,420	1,420	1,420	1,420	1,420	1,420
Reserve money	105	88	122	152	170	176	185	194	198	189	207
Currency in circulation	92	75	104	126	127	132	138	145	148	169	185
Required reserves (kwacha deposits	9	10	11	17	29	30	32	34	35	13	14
Required reserves (forex deposits)	0	0	4	6	11	10	11	12	12	4	4
Current accounts	3	1	2	2	1	1	1	1	1	1	1
Staff deposits	2	2	2	2	2	2	2	2	2	2	2
Memorandum items:											
Statutory cash reserve ratio (kwacha)	3.0	3.0	3.0	5.0	8.0	8.0	8.0	8.0	8.0	2.0	2.0
Statutory cash reserve ratio (forex)	0.0	0.0	3.0	5.0	8.0	8.0	8.0	8.0	8.0	2.0	2.0
Liquid assets ratio	30.0	30.0	30.0	40.0	43.5	43.5	43.5	43.5	43.5	43.5	43.5

Sources: Data provided by the Zambian authorities; and staff estimates.

Table 8. Zambia: Balance of Payments, 1995 - 99

	1995	1996	1997	1998	1999
		Est.	Projections		
	(In millions of US dollars, unless otherwise indicated)				
Current account balance	-246	-248	-287	-337	-366
Excluding official transfers	-564	-478	-459	-564	-609
Trade balance	-38	-26	-16	-112	-144
Exports, f.o.b.	1,190	1,128	1,217	1,273	1,388
Metals	974	856	854	875	952
Other	216	272	364	398	436
Imports, c.i.f.	-1,228	-1,154	-1,233	-1,386	-1,532
Metal sector	-265	-212	-226	-315	-404
Other	-963	-941	-1,007	-1,070	-1,128
Services balance (net)	-255	-201	-208	-217	-232
Transfers (net)	300	213	154	207	220
Of which: official	318	230	173	228	243
Interest on official debt	-251	-228	-210	-206	-199
Other factor transactions (net)	-1	-6	-9	-10	-14
Capital account	-6	71	155	203	227
Official disbursements	234	193	214	194	193
Program loans	171	119	123	96	85
Project loans	63	74	91	98	108
Official amortization	-317	-268	-192	-153	-215
Multilateral (excluding IMF)	-84	-95	-76	-66	-45
Other	-233	-172	-117	-87	-170
Private capital	77	146	133	162	249
Konkola financing	0	10	10	40	110
New mine financing	0	0	0	0	0
Other direct investment	75	61	67	67	81
Other (net)	2	75	56	54	58
Errors and omissions	36	72	0	0	0
Overall balance	-216	-105	-132	-134	-139
Net change in arrears (decrease -) 1/	176	-176	0	0	0
Debt reduction/rescheduling 2/	37	325	145	141	0
Net reserve change of Bank of Zambia	49	-27	-37	-21	-50
Gross reserves	65	1	-80	-50	-50
Other liabilities (excluding IMF)	-21	-27	0	0	0
IMF (net)	4	0	43	29	0
Net reserve change of commercial banks	-46	-17	-9	-29	-16
Financing gap (gap +, surplus -)	0	0	33	43	205
Possible gap finance:	0	0	33	43	205
Memorandum items:					
Financing gap (in percent of GDP)	0.0	0.0	0.8	0.9	4.3
Debt service/exports of goods and services (in percent)	44.4	39.8	29.7	25.3	26.8
Current account balance (in percent of GDP)	-6.1	-6.0	-6.7	-7.5	-7.7
Excluding official transfers	-13.9	-11.5	-10.8	-12.5	-12.8
Gross reserves 3/	208	207	287	337	387
In months of imports 3/ 4/	1.7	1.7	2.2	2.3	2.4
Balance of payments assistance	303	142	123	136	125
Export volume (percentage change) 5/	-6.3	6.0	13.8	5.3	7.4
Import volume (percentage change) 6/	7.7	0.2	8.5	12.7	9.3
Terms of trade (percentage change)	8.9	-20.4	-7.1	-1.0	0.5

Sources: Data provided by Zambian authorities; and staff estimates.

1/ Excluding changes in arrears to the Fund, which are reflected in the line "IMF (net)" and in changes in net reserves of the Bank of Zambia.

2/ Assumes effectiveness of February 1996 Paris Club rescheduling agreement and comparable terms from other bilateral creditors.

3/ Excluding amounts in special Bank of Internaitonal Settlements account to cover debt service due under February 1996 Paris Club accord.

4/ Months of imports of goods and service payments.

5/ Exports of goods and services.

6/ Imports of goods and services.

Table 9. Zambia: Public External Debt and Debt Service, 1997 1/

(In millions of US dollars)

	Stock of debt at end-1996 (est.)	1997 debt service 2/		
		Principal	Interest	Total
Total	6,608	151	106	257
Multilaterals	3,258	76	62	138
IMF	1,200	0	10	10
IDA	1,339	4	16	20
IBRD	115	37	9	46
AfDB/AfDF	284	23	16	39
European Union 3/	207	4	10	14
Other	114	7	2	9
Bilateral Official	3,234	16	37	53
Paris Club	2,421	16	20	36
Pre-cutoff date 4/	2,152	0	13	13
Austria	10	0	0	0
Brazil	62	0	0	0
Canada	57	0	0	0
France	182	0	1	1
Germany	644	0	4	4
Italy	106	0	1	1
Japan	488	0	3	3
UK	376	0	2	2
US	227	0	1	1
Post-cutoff date	270	16	7	23
Italy	2	...	...	...
Japan	209	...	...	...
US	60	...	...	...
Non-Paris Club 5/	812	0	17	17
China	86	0	2	2
Russia	435	0	10	10
Saudi Arabia	93	0	2	2
Other	198	0	3	3
Suppliers and other	117	59	7	66
Memorandum item:				
Short-term debt	200	...	...	...

Sources: Zambian authorities, Paris Club, and Fund staff estimates.

1/ Medium- and long-term debt contracted or guaranteed by the government.

2/ Debt service after rescheduling.

3/ Including European Investment Bank and European Development Fund.

4/ Total of previously rescheduled and non-previously rescheduled pre-cutoff date debt, before taking into account debt reduction under the option chosen by some creditors in the 1996 Paris Club agreement.

5/ All pre-cutoff date. Projected debt service flows for 1997 reflect assumption of treatment comparable to the 1996 Paris Club agreement.

Lusaka, February 12, 1997

Dear Mr. Camdessus:

1. In this letter, we assess the performance of the Zambian economy in 1996 and describe the government's budget policies for 1997. It serves to supplement the letter of intent of November 21, 1995 and to update the memorandum of economic and financial policies (MEFP) attached to that letter. The midterm review under the first annual ESAF arrangement (approved by the Fund on December 6, 1995), which was intended to be completed in April 1996, was delayed on account of the time needed for strengthened policies to have their intended effect following problems of policy implementation encountered toward the end of 1995 and in early 1996. The Government of Zambia requests waivers of the nonobservance of six performance criteria described below.

I. Developments in the Second Half of 1995 and Early 1996

2. In the second half of 1995, Zambia succeeded in correcting the problems which had arisen earlier in the year. In particular, fiscal performance improved considerably. Nevertheless, progress on stabilization remained fragile, in part because of problems in the parastatal mining company (ZCCM). ZCCM encountered serious technical problems in the fourth quarter of 1995--the result of declining ore recoveries, faulty planning and a lack of maintenance investment--which reduced monthly copper output by about one fourth, and led to severe cash flow difficulties for the company. The program, supported by the Fund in December 1995, reflected this deterioration, but ZCCM's ability to make a positive contribution to the Zambian economy proved to be even weaker than had been envisaged at the time. In addition, continued problems in the banking sector and a shortfall in balance of payments assistance further disrupted the economy.

3. As a result of the precipitous drop in output in the mining sector and continued weakening in manufacturing, economic activity contracted by almost 4 percent in 1995. The kwacha, which had fallen sharply around the Meridien crisis earlier in 1995, held steady against the U.S. dollar from July 1995 onward, but depreciated slightly in late December 1995. Meanwhile, inflation increased to 46 percent at year-end, compared with 35 percent in the program, in part reflecting the sharp rise in maize prices resulting from the 1994/95 drought and the lagged effect of expansionary fiscal and monetary policies earlier in the year.

4. The current account and overall balance of payments deficits rose significantly as well, reflecting unexpectedly low balance of payments assistance (more than 1 percent of GDP below the programmed level). Moreover, faced with a surge in demand for foreign exchange in late December 1995 as drought-related maize imports began, net international reserves rose

by only US$38 million during the first six months of the program (July-December), compared with a targeted increase of US$61 million.

5. The centerpiece of the stabilization effort in 1995 was the tightening of the fiscal stance, with the overall domestic fiscal position (on a cash basis) moving to virtual balance in 1995, as programmed, compared with a deficit of 1.2 percent of GDP in 1994. Despite the improved fiscal performance, the net domestic assets (NDA) of the Bank of Zambia (BoZ) exceeded the program ceiling, reflecting ZCCM's encashment of K 35.5 billion in sterilization treasury bills toward the end of the year to meet its cash flow requirements, as well as liquidity injections to support weak banks. Broad money (excluding foreign currency deposits) increased by 38 percent in 1995, compared with the program target of 32 percent, reflecting a strong expansion of domestic credit.

6. The macroeconomic situation deteriorated further in early 1996. The availability of foreign exchange was cut sharply by continued low copper earnings and minimal donor assistance, and the BoZ intervened in the exchange market to support the kwacha in order to moderate the rise in maize-meal prices. As a consequence, net international reserves dropped by US$67 million in the first six weeks of the year. The fiscal position had deteriorated significantly as well by February, largely on account of increased domestic interest payments, as well as problems of expenditure control. Increased government financing requirements and heavy discounting of treasury bills, partially reflecting the increased demand for dollars, led to a sizable increase in the net domestic assets of the BoZ. Maize prices continued to rise, and the fiscal and monetary pressures further exacerbated inflation.

7. We began taking corrective actions in late February 1996, including restoring control over the budget and limiting the growth of net domestic assets, while letting the kwacha depreciate and interest rates rise. A number of specific actions were also taken to improve the operation of ZCCM in the context of an emergency action plan, which included replacement of several key managers.

II. The Revised Program for 1996

8. The policy strengthening through April was clearly only a first step towards meeting our program objectives. In early May, the 1995/96 program was extended through the end of 1996. The revised program, which was presented in the staff report for the 1996 Article IV consultation, established indicative quarterly performance targets for June, September, and December 1996. This program was implemented largely as planned through June. In June, however, developments in world copper markets led to a sharp decline in copper prices, while differences that had arisen between the government and bilateral donors over governance issues had made it clear that we could no longer count on the balance of payments assistance that had been expected in 1996. In response to these new problems, a Fund staff mission assisted us in August to further strengthen the program, and formulated revised targets for September and December 1996.

9. The main objectives under the revised program included real GDP growth of 5 percent, somewhat lower than originally projected, owing mainly to the downturn in copper production and the shortfall in donor assistance, and a reduction in the rate of inflation to 27 percent, which was higher than originally projected as we realized that the impact of the drought would be stronger than anticipated and expansionary policies early in the year continued to fuel inflationary expectations. In addition, the objective of strengthening international reserves was maintained, but in the circumstances, given the more pronounced drop in copper prices and the shortfall in balance of payments assistance, the decline in net international reserves was limited to US$10 million for the year as a whole against the original programmed increase of US$69 million.

10. We decided that an ambitious fiscal objective was necessary to help cope with the difficult external situation. In order to facilitate the fiscal adjustment, we began implementing a number of revenue measures in line with the overall thrust of the tax reform package enacted under the 1996 budget. In addition, in order to improve the collection and remittance of fees and charges, we reduced funding to ministries that had failed to file reports about their collection of fees and charges. On the expenditure side, faced with higher interest expenditure and the need to clear arrears, we reduced travel allowances for foreign travel, imposed non-social sector across-the-board expenditure cuts in recurrent departmental charges of 8 percent, reduced funding for civil service reform significantly, as affordable retrenchment packages continued to be unavailable, and repealed the large end-of-term gratuity to parliamentarians approved earlier in the year. Domestic capital expenditure was also trimmed by 30 percent, while maintaining domestic funding for foreign-financed projects.

11. The program also called for significant actions to address the recurring problem of domestic arrears accumulation by ministries. Measures included issuing a circular to ministries explaining the procedures involved in monitoring arrears; enhancing our monitoring efforts by preparing monthly follow-up reports on the five ministries with the largest outstanding commitments; offsetting identified arrears with a reduction in the responsible ministry's monthly recurrent departmental charges allotment; and enforcing regulations that prescribe penalties for responsible line officers in ministries who exceed approved spending limits. More generally, we encouraged the utilities and other vendors to follow up promptly on overdue payments and committed not to place pressure on suppliers to continue service to governmental units that have not remained current on their bills. Despite these efforts, we have had difficulties in collecting comprehensive information on the outstanding stock of domestic arrears. Nonetheless, by the end of 1996, we had cleared all identified outstanding arrears.

12. The principal objective of our monetary stance in 1996 was to reduce inflation significantly through the tightening of fiscal policy and the sterilization of excess liquidity, supported by stepped-up open-market operations and the use of more direct monetary instruments. Broad money was projected to expand by only 10 percent for the year as a whole. To limit the risk that financial support for troubled commercial banks could compromise macroeconomic stability, as occurred in 1995, the BoZ in 1996 followed a policy

of providing no unsecured overdrafts and intends to continue this policy in the future, and implemented the first stage of a two-step increase in minimum bank regulatory capital requirements in June. The second stage of the two-step increase was completed in December, at which time eight banks did not meet the higher minimum capital requirements. Since that time, two of the banks have merged and now meet the requirements while another is in the process of receiving foreign participation. In addition, foreign exchange regulations were gazetted on March 22, 1996, the regulation on large loan exposure and insider lending was gazetted in June 1996 and that on provisioning in August 1996.

13. A key element in our strategy for achieving external viability continued to be the maintenance of a market-determined exchange rate. BoZ operations in the exchange market were aimed at achieving the desired accumulation of reserves, while smoothing sharp short-term fluctuations of the exchange rate, and the BoZ was committed not to use its reserves to defend an exchange rate which appeared to be out of line with market fundamentals. Regarding our debt strategy, with the approval of the ESAF arrangement in December 1995 and the conclusion of the Paris Club rescheduling agreement on February 28, 1996,[1] the Government's cash debt-service requirements have declined substantially, from US$330 million in 1995 to US$210 million in 1996. We still have an unsustainable debt-service burden over the medium term, and are counting on continued international support for our adjustment effort to alleviate that burden. In the meantime we are working to complete the regularization of our relations with our non-Paris Club bilateral creditors through negotiation of rescheduling terms at least as favorable to Zambia as the Naples terms rescheduling provided by the Paris Club. In this regard, negotiations have begun with Russia, the largest outstanding non-Paris Club creditor, with both sides presenting rescheduling proposals that approach Naples terms. We hope to complete these negotiations in the first part of 1997. Our second largest non-Paris Club creditor, China, has been rolling over debt-service maturities as they fall due at zero interest. We plan to negotiate appropriate concessional reschedulings with our remaining non-Paris Club bilateral creditors in early 1997 as well. At this stage, based on information available, other debt remaining to be resolved includes our debt to Kuwait that was assigned to Camdex, a commercial debt trading firm, and to Lazard Brothers that was assigned to Ex-Printer International. With the assistance of the World Bank, we are currently in the process of verifying the stock of potential claims of creditors that did not participate in the commercial debt buy-back scheme and expect to have a preliminary report, which will include a complete listing of outstanding claims held by private creditors as well as seized reserves, by the end of March 1997. Commercial debt had been largely eliminated through debt buy-back operations in 1994, and we have negotiated settlements of court judgments obtained by the only remaining creditors that have pursued their claims.

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[1] We have asked for an extension of the effectiveness date established in the February Paris Club rescheduling agreement in order to allow sufficient time to complete the midterm review of the first annual ESAF arrangement.

14. With regard to structural measures, the program called for the improvement of financial and operational management at the copper mining company (ZCCM), its accelerated privatization, the completion of the privatization of remaining small and medium-sized companies, progress on civil service reform, and a reduction in the size of the civil service of almost 2 percent. The government also intends to complete the privatization of the Zambian State Insurance Company, the largest insurance company in Zambia, during 1997. Aside from the privatization of ZCCM, the largest task that will remain involves the privatization of several large utilities. In May 1996, the government decided that the Zambia Telecommunications Company (ZAMTEL) would be fully privatized and that its privatization would be completed by end-1997. In this connection, the government intends to open the entire telecommunications sector to competition during 1997 and, to support this effort, a regulatory authority has been established to oversee and foster a growing regional telecommunications infrastructure. The Zambia Electricity Supply Corporation is being commercialized.

III. Implementation of the Revised Program for 1996

15. All the revised indicative targets for the end of September were observed with the exception of the limits on NDA and NCG, which were exceeded because of the delayed disbursement of the first tranche of the World Bank's ESAC II structural adjustment loan. Following budgetary overruns in October, the government tightened financial policies considerably toward the end of the year and, as a result, all the originally programmed quantitative targets for end-December 1996 were met with the exception of the NDA ceiling, which was missed by K 6.7 billion (0.6 percent of the target of K 1,161 billion), as the second tranche of the World Bank's US$70 million Economic Recovery and Investment Promotion (ERIP) structural adjustment loan was not disbursed before the end of 1996, as earlier envisaged.

16. Our efforts to improve economic growth within a framework of macroeconomic stability began to take hold in 1996 as economic activity expanded by some 5 percent, aided by improved copper production and a bumper maize crop. Inflation slowed considerably in 1996 as well, to 35 percent, but was higher than the revised target of 27 percent, owing to the larger-than-anticipated lagged impact of the drought in 1995 and expansionary financial policies earlier in 1996. The overall balance of payments situation also improved in 1996 as the external capital account strengthened, primarily reflecting increased private capital inflows, while the external current account remained broadly unchanged. Consequently, with the further tightening of financial policies in the second half of the year, aided by the year-end improvement in world copper prices and higher-than-anticipated nonmining export earnings, net international reserves improved by US$47 million more than programmed for the year as a whole, despite the delayed US$70 million World Bank ERIP disbursement.

17. The targeted domestic fiscal surplus of 1 percent of GDP was achieved in 1996, thanks largely to a sizable decrease in expenditure, which fell by 3 percentage points of GDP

in 1996, more than offsetting the ½ percentage point of GDP drop in domestic revenue and the clearance of K 51 billion of domestic arrears (1 percent of GDP). The revenue decline primarily reflected the impact of lower income tax receipts and the temporary decline in VAT revenues (as ZCCM was allowed to claim exemptions on imported inputs in line with the tax code). The decline in expenditure resulted primarily from lower wage and recurrent ministry outlays as we restrained unnecessary growth and reduced the size of the civil service, limited transfers for grants and pensions and cut domestic capital outlays. We also strictly enforced the budgetary limits on appropriations-in-aid, requiring ministries to turn over a larger share of their collected fees and charges to the general revenue account and tightened the administration of the import declaration fee, focusing on the collection of large outstanding arrears. Finally, the VAT reform that took effect in July 1996 moved many food items to a fully taxable status, zero rating only a limited number of essential foodstuffs. In November, when we realized that the budget surplus was in serious jeopardy as a result of sizable unprogrammed expenditures in October,[2] we increased vehicle registration fees, collected tax arrears and moved ahead with several privatization sales (generating K 27 billion in December alone). These measures, combined with efforts to accelerate tax collection, generated an additional K 43 billion in revenue in December (albeit from a low base in November). At the same time, total expenditure was reduced by K 19 billion from November, primarily reflecting sizable cuts in ministries' recurrent outlays, agricultural sector support and, to a lesser extent, delays in transfer payments.[3] After reflecting a further reduction in domestic arrears of K 4 billion and a change in balances of K 3 billion, the domestic surplus in December amounted to K 48 billion.

18. Following a strong expansion of broad money during the first half of the year, broad money growth slowed considerably during the second half of 1996, reflecting primarily the successful tightening of financial policies during that period. For the year as a whole, broad money expanded by 36 percent (including foreign exchange deposits), compared with 55 percent in 1995.[4] With the tightening of financial policies during the year, the effective yield on treasury securities increased from 42 percent at end-1995 to 58 percent at end-1996, while the end-of-period rate of inflation fell from 46 to 35 percent over the same period.

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[2] Expenditure increased significantly in October as unexpected court-ordered payments were made to the original owners of nationalized companies and the settlement of previously unverified arrears led to a deficit in that month of K 30 billion.

[3] Contributions to the civil service pension fund, of some K 3 billion, were delayed until early 1997.

[4] In an effort to reduce excess liquidity, reserve requirements were increased from 3 percent in July to 8 percent in December and core liquid asset reserve requirements were increased from 30 percent in July to 43.5 percent in December.

19. The BoZ worked with the remaining banks facing capital deficiency during the second half of 1996 to ensure that recapitalization takes place within a reasonable timeframe, failing which they would need to be closed or merged with other institutions. At the same time, the BoZ substantially strengthened its supervisory capacity, particularly with respect to on-site inspection. Between April and June 1996 on-site inspections of ten banks were carried out. To strengthen the supervision and oversight role of the BoZ, the Bank of Zambia Act was revised and approved by Parliament in October 1996. In addition, as part of the reform of the BoZ and to ensure an adequate flow of income, the government recapitalized the BoZ in June 1996 by converting K 20 billion of the BoZ's holdings of noninterest-bearing government debt into interest-bearing securities.

20. The external current account deficit remained broadly unchanged in 1996 as lower copper prices and donor support was largely mitigated by the continued rapid growth in nontraditional exports and lower imports. Our overall balance of payments improved moderately during 1996 as private investment, largely related to the privatization effort, increased. Following a 23 percent decline in the U.S. dollar value of the currency in the first half of the year, the kwacha has remained relatively stable, fluctuating within a narrow range around K 1,260 - K 1,285 per U.S. dollar. Since April 1996, ZCCM, the main supplier of foreign exchange to the market, has been allowed to retain 100 percent of metal proceeds. Given the company's importance in the foreign exchange market, the BoZ is taking steps to strengthen the monitoring of ZCCM's foreign exchange dealing activities.

21. To strengthen the performance of ZCCM, a new chairman was appointed in 1996 who established a monitoring team to report directly to him. One of the first tasks of the new team was to evaluate ZCCM's performance with respect to procurement, marketing, and accounting. The report described the financial problems that have resulted from low world copper prices and an unanticipated reduction in short-term financing emanating from creditors' concerns over the Camdex lawsuit and uncertainties about the company's ability to retire short-term debt before privatization. The report also pointed to serious problems in the marketing of copper that have resulted in large costs in terms of forgone receipts. ZCCM has since addressed the problems raised in the report. It has terminated questionable marketing practices and revamped its sales practices for 1997 to eliminate dependence on middlemen, and to avoid contracting for sales in excess of cautiously estimated production. ZCCM has also pursued financing options to improve its short-term financial situation and reduced modestly the large payments arrears that had emerged at the end of September (estimated at US$98 million) to a level of US$96 million at the end of December 1996.

22. In line with the objectives of the program, the privatization of ZCCM was accelerated in 1996, with government approval of the Rothschild report on its privatization in May and the ZCCM board's ratification of the plan in June. For the purpose of privatization, ZCCM has been divided into four major packages. In September, a competitive international bidding

process for majority shareholdings in three packages was initiated.[5] The bidding process is to be completed by February 1997, and our target date for completing the sale of ZCCM's principal assets (other than Konkola Deep) has been moved up to June 1997. The Government completed the sale of one of the units, Kansanshi copper mine, in January 1997. Subsequently, but no later than 1998, we plan to float the remaining minority government holdings as stock issues to the general public. The sale of ZCCM's other assets, including nonmining subsidiaries, began in mid-September and should be completed by June 1997.

23. We also continued to make rapid progress with the privatization of nonmining sector parastatals in 1996. Of the 275 companies in various stages of privatization or liquidation, 155 companies had been privatized or liquidated by the end of 1996 (representing about 80 percent of 1994 turnover) while negotiations on an additional 9 companies have been completed or are underway. Furthermore, we have identified a number of governmental units that can be either privatized or commercialized. So far more than 20 of these units have been transferred to ZPA for privatization.

24. The reduction in civil service employment proceeded at a relatively slow pace in 1996, as the cost of retrenchment of government employees under the current retirement schemes was unaffordable for the budget. As an interim measure, the government continued to reduce civil service employment through attrition by strictly following the partial hiring freeze; employment declined by 2,138 during the year. To allow more flexibility in employment policy, the pension law was amended in April 1996 to remove the provision allowing automatic early retirement and simplify the commutation provisions for calculating pension entitlement. Significant progress has been made in restructuring the public service, with the dual objectives of improving the government's service delivery mechanism and enhancing the effectiveness of the civil service. Twelve ministries are now implementing their approved restructuring plans and plans for the remaining ministries will be approved in 1997.

IV. MACROECONOMIC FRAMEWORK AND THE BUDGET FOR 1997

25. A key objective for 1997 will be the significant reduction of the rate of inflation, which is essential for revitalizing economic growth in a stable macroeconomic environment. Assuming further improvement in mining production and the continuation of good crop production in 1996/97, real GDP growth is projected at 5½ percent in 1997. Aided by a further tightening of fiscal and monetary policies, consumer price inflation is programmed to be reduced to 15 percent on an end-year basis. With a stronger capital account and the continued rapid rise in nontraditional export earnings, we intend to strengthen gross official reserves by US$80 million to US$287 million, equivalent to 2.2 months of projected imports of goods and services. On the structural front, we are committed to completing the

[5] The minority shareholder in ZCCM is being allowed to exercise its preemptive rights on the Konkola Deep mining package.

privatization of ZCCM in 1997, pursuing the privatization or commercialization of public utilities, and beginning the process of comprehensive civil service reform.

26. Fiscal adjustment will play a crucial role in the stabilization effort, as well as the reconfiguring of the expenditure profile toward priority sectors. In this regard, the government's overriding fiscal objective will be the generation of a domestic fiscal surplus of K 62 billion in 1997, equivalent to 1 percent of GDP. Domestic revenue (excluding temporary privatization receipts) is projected to increase by 0.2 percentage points of GDP. Donor program and project grants are cautiously projected at US$67 million in 1997, down from US$106 million in 1996, while balance of payments support for 1997 (excluding the Fund) is also cautiously projected to decrease modestly, from US$142 million in 1996 to US$123 million, which does not include bilateral donor support. As a consequence, a fiscal and balance of payments financing gap of some US$33 million is projected for 1997. We will need the strong support of bilateral donors to finance this gap. We are committed to make every effort to restore our partnership with donors this year and will continue our efforts to improve economic governance. In this regard, we are preparing to announce an affordable civil service retrenchment package (see paragraph 28) that could attract donor support.

27. The core revenue measures proposed for 1997 include: (i) a reduction in the VAT rate from 20 to 17.5 percent, effective July 1, 1997; (ii) an increase in effective income tax rates, as tax brackets are not adjusted to compensate for inflation; (iii) the continuation of the temporary 5 percent import declaration fee; (iv) the reduction and consolidation of authority for issuing tax exemptions with the Minister of Finance and Economic Development; and (v) a substantial increase in motor vehicle registration and drivers' license fees. The lowering of the VAT rate, which should encourage the inclusion of activities now evading the tax net and lessen the tax burden on the economy, is estimated to reduce revenue by K 38 billion on an annual basis. Moreover, the full-year impact of extending the destination principle in value added taxation to cover the international transactions of ZCCM is expected to lead to a revenue reduction of K 68 billion. These declines are expected to be fully offset by improvements in VAT administration, including the issuance of stiffer penalties for noncompliance, the increase in vehicle registration fees, drivers' license fees and the one-time issuance of new vehicle ownership books and the nonadjustment of income tax brackets for inflation. The reform of the tax administration in 1996 is also expected to yield additional tax and customs receipts, while the reductions in import tariffs and the elimination of exemptions in 1996 will expand the tax base. The government will closely monitor developments in the first half of the year and will take any necessary measures to maintain a sound fiscal position.

28. On the expenditure front, we intend to limit total domestic expenditure to K 818 billion (excluding the contingency fund discussed below). While increasing outlays for public investment, with an emphasis on infrastructure and social expenditures, we intend to further restrain nonproductive expenditures. The government intends to limit the wage bill to K 259 billion, an increase of 17 percent from 1996. In this regard, discussions have started with the civil service unions aimed at spreading the recent pay award over a two-year period. We expect to limit the per worker wage award in 1997 to K 10,000 (effective as of September

1996) with a possible additional increment, provided it could be accommodated within the overall wage bill ceiling. An essential part of the 1997 budget is a sizable reduction in the size of the civil service this year, which will be achieved through an affordable package of involuntary and voluntary retrenchments and the continuation of the present attrition policy. This package will be presented to Cabinet by the end of April 1996. As the current cost of involuntary retrenchment is unacceptably high, and can neither be financed domestically nor with donor aid, the government will amend the existing regulations regarding civil service retrenchment, as necessary, to allow an affordable package that can attract donor support. At the same time, the government will develop an affordable package which will support voluntary retrenchment. It is expected that continuation of the attrition policy would yield an additional reduction in size of the civil service by some 2 percent. Regarding agricultural expenditure, the government is committed to ending its support of input financing, while reducing significantly its role in crop financing and the buildup of the strategic reserve. In this regard, excluding expenditure related to the donor-coordinated sector investment program (ASIP), we intend to limit domestic agriculture sector support to K 24 billion in 1997.

29. Given the ambitious revenue target for the year and the emergence in recent years of unanticipated expenditures on domestic interest and the clearance of domestic arrears, the government has established a contingency reserve equivalent to K 100 billion (10 percent of revenue) in 1997 as a separate allocation outside of the revenue and expenditure accounts. The contingency mechanism has been designed in such a way that the quarterly contingency reserve account (of K 25 billion) will be allocated in the month following the completion of each quarter, without cabinet approval, to offset unforeseen shortfalls in revenue and to cover unforeseen domestic arrears and interest payments up to the total amount allocated for each quarter. Any remaining balances in the quarterly contingency reserve could then be allocated, in the month following the completion of the quarter, through a cabinet decision based on the priority needs of the government.

30. The 1997 budget also incorporates a number of recommendations made by the recent FAD technical assistance mission regarding expenditure management and control including: (i) setting budget provisions for spending ministries that are consistent with cash availability; (ii) preventing commitments within ministries in excess of the amounts consistent with cash availability; and (iii) monitoring closely the performance of each ministry to ensure the expenditure control regime is firmly adhered to. Regarding the control of domestic arrears, tighter control over expenditures is to be achieved by (i) issuing warrant authority on a three-month rather than an annual basis; (ii) putting in place a system of rolling monthly cash limits; (iii) closer monitoring of commitments; and (iv) more rigorous inspection of ministry records.

V. REQUEST FOR WAIVER OF PERFORMANCE CRITERIA UNDER THE FIRST ANNUAL ESAF ARRANGEMENT

31. Six of the ten performance criteria for end-December 1995 were not observed. The deterioration of ZCCM's performance was a major factor in the inability to observe the three core financial criteria. While the modification of the contingency mechanism in early December 1995 permitted the company to encash K 15 billion of its sterilized treasury bills, an additional K 20.5 billion was needed. Any failure of ZCCM to meet its contingency mechanism obligations was supposed to have been offset by additional fiscal adjustment; the budget did indeed overperform, but not by enough, and the NCG performance criterion was breached by K 3 billion. As discussed above, we moved aggressively in 1996 to address the problems of ZCCM.

32. The breach of the NDA performance criterion was also largely the result of ZCCM's problems. The total release of contingency mechanism treasury bills in December added K 35.5 billion to NDA, at a time when we were already having difficulties controlling liquidity because of support being given to troubled commercial banks, and the NDA ceiling was breached by K 22 billion. The corrective actions we have taken on ZCCM, together with our more forceful approach regarding problem banks, have addressed these factors.

33. ZCCM's problems were also a major factor in the nonobservance of the performance criterion for the floor on net international reserves by US$30 million at end-December. As discussed above, a number of steps were taken to strengthen ZCCM's performance, and the privatization process was accelerated. Once the period of major maize imports had passed, we resumed, and have since maintained, the policy on intervention described in paragraph 13. Overall, we have strengthened our reserves position considerably since the end of April 1996, despite the new balance of payments shocks we have encountered.

34. The government also did not observe the performance criterion related to the clearance of all 1994 domestic arrears, missing the performance target by K 11 billion. Nevertheless, the arrears were cleared in the first quarter of 1996. The government continues to be committed to the policy of not incurring new domestic arrears, but has not yet been fully successful; paragraph 11 describes the further actions taken to minimize domestic arrears in the future.

35. The government inadvertently missed one external debt-service payment of US$7 million to a bilateral creditor late in 1995, causing the nonobservance of the performance criterion regarding the accumulation of new external payments arrears. However, the payment was made in February 1996, as soon as the creditor concerned alerted us. We were surprised by this problem, in light of the strengthening of our debt-service procedures over the last two years, which in general has been highly successful. We have again reviewed our procedures and aim to further strengthen them in the context of the creation of the national debt office within the Ministry of Finance and Economic Development. The Government also missed the structural performance criterion on the

gazetting of the new foreign exchange guidelines by December 31, 1995. The gazetting of the regulation occurred on March 22, 1996, reflecting an unexpectedly long and cumbersome review process. We modified our regulatory clearance procedures in April, allowing for more rapid approval of BoZ regulations, and we have completed our schedule for gazetting the major remaining regulations.

36. In view of the economic and financial developments in 1996 and the Government's commitment to continue the structural reform and stabilization effort in 1997, including the corrective actions with respect to the problems identified by the nonobservance of the six performance criteria described above, we request a waiver for their nonobservance.

Sincerely yours,

R.D.S. Penza
Minister of Finance and
Economic Development

Attachment

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington D.C. 20431
USA

Table 1. Zambia: Performance Indicators Under the Staff-Monitored Program for 1996

	1996									
	March	June			September			December		
	Actual	Indicative Targets	Adjusted Indicative Targets 1/	Actual	Indicative Targets 2/	Adjusted Indicative Targets 1/ 2/	Actual	Indicative Targets 2/	Adjusted Indicative Targets 1/ 2/	Estimate
Quantitative indicators					*(In millions of kwacha)*					
Net domestic assets of the Bank of Zambia (ceiling) 3/	1,164,173	1,159,938	1,152,037	1,152,313	1,157,135	1,166,569	1,191,349 4/	1,142,308	1,160,984	1,167,672
Net claims on government (ceiling) 5/	134,531	119,730	133,600	98,333	99,284	135,359	151,466 4/	84,730	110,025	102,453
Domestic arrears of government (ceiling)	...	24,000	24,000	37,650	12,000	12,000	11,950	--	--	--
Budgetary expenditure for debt swaps (ceiling)	--	--	--	--	--	--	--	--	--	--
					(In millions of U.S. dollars)					
Net international reserves (floor) 6/	-1,122.3	-1,112.3	-1,104.0	-1,078.7	-1,108.7	-1,112.2	-1,090.0	-1,092.5	-1,096.0	-1,048.8
Stock of short-term debt (ceiling)	177.7	161.0	161.0	141.7	200.6	200.6	155.3	205.0	205.0	200.0
New external payments arrears	--	--	--	--	--	--	--	--	--	--
New nonconcessional external medium- or long-term loan commitments	--	--	--	--	--	--	--	--	--	--
					(Number of persons)					
Size of the civil service	123,233	122,500	122,500	122,497	121,875	121,875	121,695	121,250	121,250	121,214

Structural indicators and benchmarks	**Status**
Gazetting of regulations on large credit exposure and connected lending by June 30, 1996.	Completed June 21, 1996
Gazetting of regulations on provisioning by August 31, 1996	Completed August 30, 1996
No unsecured overdrafts provided to commercial banks by the Bank of Zambia (ongoing).	Ongoing
Completion of progress report on ZCCM operations and reforms by July 31, 1996.	Completed October 9, 1996
ZCCM Board approval of ZCCM privatization by end-June 1996.	Completed June 18, 1996
Recapitalization of the Bank of Zambia by end-June 1996.	Completed by end-June 1996

1/ Indicative targets adjusted as called for in the technical memorandum of understanding.
2/ September and December indicative targets were revised during August mission.
3/ Reserve money less NIR at K952/US$.
4/ Had the US$45 million first tranche of the World Bank ESAC II loan, which was delayed until October 17, 1996, been disbursed in September as programmed, the target would have been met.
5/ June, September, and December ceilings adjusted upward by K1.1 billion (based on revised end-March data) to maintain same flow target.
6/ Beginning July 1, 1996, NIR calculated excluding balances in Paris Club special account.

Zambia - Relations with the Fund
(As of December 31, 1996)

I. **Membership Status**: Joined 9/23/65; Article XIV

II. **General Resources Account**:	SDR million	% Quota
Quota	363.50	100.0
Fund holdings of currency	363.49	100.0
Reserve position in Fund	0.02	0.0

III. **SDR Department**:	SDR million	% Allocation
Net cumulative allocation	68.30	100.0
Holdings	1.41	2.1

IV. **Outstanding Purchases and Loans**:	SDR million	% Quota
SAF arrangements	181.75	50.0
ESAF arrangements	651.68	179.3

V. **Financial Arrangements**:

Type	Approval date	Expiration date	Amount Approved (SDR million)	Amount Drawn (SDR million)
SAF	12/06/95	12/05/96	181.75	181.75
ESAF	12/06/95	12/05/98	701.68	651.68
Stand-by	2/21/86	5/15/87	229.80	35.00

VI. **Projected Obligations to the Fund**: (SDR million; based on existing use of resources and present holdings of SDRs):

	Overdue 8/31/96	Forthcoming 1997	1998	1999	2000	2001
Principal						166.7
Charges/interest	0.0	6.8	6.8	6.8	6.8	6.5
Total	0.0	6.8	6.8	6.8	6.8	173.2

VII. Exchange Rate Arrangement:

The currency of Zambia is the Zambian kwacha. All foreign exchange transactions take place at market-determined exchange rates. The official exchange rate of the Bank of Zambia is determined by the weighted average exchange rate quoted by commercial banks through the Bank of Zambia dealing window. Depending on whether the Bank of Zambia is purchasing or selling funds, a 2 percent spread is added to or subtracted from the weighted average dealing rate to arrive at the Bank of Zambia official buying and selling rates. The Bank of Zambia official rate applies to the portion of the foreign exchange purchase from the market, the most significant source being Zambia Consolidated Copper Mines (ZCCM); and to all government transactions, including donor assistance receipts and debt service.

The Bank of Zambia conducts daily foreign exchange dealing sessions at which it invites bids and offers from authorized dealers (i.e., registered commercial banks). On the basis of the bids and offers received as well as other budgetary considerations (such as Government and BoZ requirements, donor inflows, and export earnings) the Bank of Zambia determines the amount of foreign exchange to be sold to or purchased from the market. In addition to the Bank of Zambia dealing market, there is an emerging interbank market. The exchange rates obtaining in this market closely track those established at the Bank of Zambia dealing window. On December 30, 1996, the Bank of Zambia selling rate was K 1,293/US$1.

VIII. Article IV Consultations:

Zambia is on the standard 12-month Article IV consultation cycle; the last Article IV consultation was concluded by the Executive Board on July 8, 1996. Executive Directors regretted that Zambia's ESAF-supported program had gone off track soon after it was approved and underscored the need for stronger macroeconomic performance for 1996. Directors stressed that consistent satisfactory performance under the staff-monitored program, accelerated progress with respect to the privatization of the ZCCM, and reasonable assurances of balance of payments financing would all be needed for completion of the midterm review.

IX. Technical Assistance:

The Monetary and Exchange Affairs Department has furnished the Bank of Zambia with an Operations Advisor (August 1990-August 1992), a head of the Banking Supervision Department (January 1991 to February 1993), Banking Supervision Advisor (from February 1993), an Advisor in the Research Department (January 1991-March 1994), an Advisor in the Accounting Department (March 1993-September 1994), an Advisor on Foreign Exchange Operations (January-April 1994), a Senior Operations Advisor (from September 1994), and Advisor on Monetary Policy (March 1994-March 1996). The Fiscal Affairs Department provided an Advisor on Tax Administration (August 1992-July 1993), and an Advisor for Macroeconomic and Fiscal Training (August-October 1994).

Technical assistance missions from the Fiscal Affairs Department visited Zambia in January 1994, August 1994, and February 1995 to advise on introduction of a value-added tax. Missions from the Statistics Department visited Lusaka in May 1993 to review balance of payments data, in October 1994 to review the monetary survey, and in March 1996, for multisector work. Technical assistance missions from the Monetary and Exchange Affairs Department visited Zambia in September 1992 to review banking legislation, in March 1993 to advise on government debt and monetary management, in March 1995 to review the implementation of the Capacity Building Project for the BoZ, and in October 1995 to train the BoZ staff in financial programming. An STA staff member participated in the MAE March 1995 mission, made recommendations for improving the Bank of Zambia balance sheet in order to compile monetary statistics according to the Fund's methodology, and also conducted training of Bank of Zambia officials in this methodology. MAE continued to provide extensive technical assistance in 1996 to the Bank of Zambia in the areas of supervision, payments systems, and information technology. An STA multisector mission visited Lusaka in March/April 1996 and made a large number of recommendations. A FAD mission visited Lusaka in November to advise on improvements in budget management.

X. **Resident Representative:**

A Fund resident representative took up position in Lusaka in June 1990. Since August 1995 the resident representative has been Mr. Elwaleed Taha.

ZAMBIA: RELATIONS WITH THE WORLD BANK GROUP

1. The World Bank Group has provided 79 loans and credits to Zambia since 1956, with total commitments amounting to US$2.3 billion. These commitments have financed operations in various areas, including energy, transportation, communications, rural water supply, secondary and higher education, teacher training and technical education, commercial and smallholder agriculture (commercial crops, family farming, coffee production, dairying, integrated rural development), industrial forestry, and fisheries. Other loans and credits have supported the country's mining and manufacturing sectors and the urban sector. Two program loans were approved in the early 1970s, and three adjustment credits were approved in the period 1985-86. Disbursements were suspended in May 1987 when Zambia abandoned the reform program and stopped paying debt service. Adjustment lending resumed after clearance of arrears in early 1991, and the latest adjustment operation was approved in August 1996. A free-standing technical assistance (TA) credit was approved in 1978 to help the government improve its planning and project preparation; a second TA credit was approved in 1986 to support improvements in economic management, a third was approved in 1992 to assist in parastatal reform and privatization, and a fourth was approved in 1994 to improve the management of the financial sector. A fifth was approved by the Board on June 4, 1996. The International Finance Corporation (IFC) has provided 11 loans and six equity participations in support of private enterprise activities, including food production and processing, shoe manufacturing, packaging and plastic wrap, textiles, tourism, mining, and development finance.

2. The main elements of the Bank's strategy are to support efforts to:

- achieve macroeconomic stability and initiate a path of sustainable and equitable growth through elimination of the budget deficit, attaining a competitive exchange rate, and increasing the allocation of resources to economic and social sectors by restructuring the composition of public expenditure;

- ensure sufficient access to imports, and an adequate reserve cushion, through maintenance of an appropriate exchange rate and other measures to encourage exports and to use imports wisely, and through coordination of donor assistance and efforts to secure needed debt elimination and rescheduling;

- improve the climate for private sector development through deregulation, provision of infrastructure, and privatization of parastatals;

- strengthen human resource capacity by rehabilitating the education and health infrastructure and improving the quality of education and health services; and

- implement an effective environmental strategy.

3. In the context of this strategy, the Bank provided additional support to mitigate the effects of the 1992 drought. Thus, the allocation for the 1992 policy adjustment credit was increased from US$100 million to US$200 million, and some existing operations were revised to provide funding for drought-related activities. In 1993, an additional adjustment operation (PIRC II) was added to the program to offset the exceptional balance of payments need in that year, stemming in part from lower copper prices. In March 1994, the US$150 million Economic and Social Adjustment Credit (ESAC) was approved to supplement the government's efforts in the promotion of the private sector and improve social services. The Economic Recovery and Investment Promotion Project (ERIP), approved in July 1995, involves US$140 million, all of which has been disbursed and the second Economic and Social Adjustment Credit (ESAC II), at US$90 million, was approved in August 1996. The Bank is also actively coordinating donor support for Zambia. The most recent Consultative Group meeting was held in Bournemouth (UK) in December 1995.

4. Zambia's withdrawal rights under Bank loans and IDA credits were suspended on May 1, 1987, because of arrears on obligations owed to the Bank. On March 5, 1991, the Bank approved, subject to the clearance of arrears, an Economic Recovery Credit (and supplemental IDA Reflows) in the amount of SDR 169 million (US$237 million). On March 13, 1991, Zambia cleared all its arrears to the World Bank and IDA, and disbursements resumed. Policy slippage in mid-1991, particularly on maize pricing, led to a withdrawal of donor support, nonpayment of debt service, and a second suspension of disbursements in September. Following the elections in October, agreement was reached with the new government, the new arrears were cleared, and disbursements resumed in late January 1992. Accordingly, the Bank's loans to Zambia are no longer in nonaccrual status, and the Bank has ended its suspension of new lending and of disbursements of previously approved IBRD loans and IDA credits. A summary of Bank Group financial relations with Zambia is presented below.

ZAMBIA: STATUS OF BANK GROUP OPERATIONS
(As of September 30, 1996)

Loan or Credit No.	Fiscal Year	Borrower	Purpose	(Amount in millions of U.S. dollars, less cancellations) IDA	Undis-bursed	Closing Date
			SUMMARY STATEMENT OF LOANS AND IDA CREDITS			
C17430-ZAM	1987	Zambia	Coffee II	20.40	2.93	06/30/99 (R)
C17460-ZAM	1987	Zambia	Agr., Res. and Ext.	13.00	0.71	12/31/96 (R)
C22690-ZAM	1991	Zambia	Mining Technical Assistance II	21.00	1.77	06/30/97
C22730-ZAM	1991	Zambia	Social Recovery Project	20.00	2.24	07/31/97
C24060-ZAM	1992	Zambia	PIRC Technical Assistance	10.00	3.31	12/31/97
C24220-ZAM	1993	Zambia	Marketing and Processing	33.00	16.57	06/30/99
C24290-ZAM	1993	Zambia	Education Rehabilitation I	32.00	8.11	06/30/98
C25150-ZAM	1993	Zambia	Transport Engineering	8.50	3.58	06/30/97
C25350-ZAM	1994	Zambia	Financial and Legal MA	18.00	11.02	06/30/99
C26210-ZAM	1994	Zambia	Petroleum Rehabilitation	30.00	29.65	06/30/00
C26600-ZAM	1995	Zambia	Health Sector	56.00	52.56	12/31/00
C26980-ZAM	1995	Zambia	Agriculture Sector I	60.00	52.20	12/31/99
C27250-ZAM	1995	Zambia	Urban Restructuring and Water	33.00	29.56	12/31/01
C27550-ZAM	1995	Zambia	Social Recovery II	30.00	22.07	12/31/00
C27640-ZAM (S)	1996	Zambia	Economic Recovery and Investment Promotion Project	140.00	64.60	12/31/96
C28750-ZAM	1996	Zambia	ERIPTA	23.00	18.69	12/31/01
C29100-ZAM	1997	Zambia	Second Economic and Social Adjustment	90.00	44.79	12/31/97
C29101-ZAM	1997	Zambia	Second Economic and Social Adjustment	7.8	7.75	01/09/98
			LIST OF CLOSED SALS AND SECALS			
C15450-ZAM	1985	Zambia	Agriculture Rehabilitation	24.15	.00	06/30/88
CA0050-ZAM	1986	Zambia	Agriculture Rehabilitation	9.85	.00	06/30/88
CA0040-ZAM	1986	Zambia	Industrial Reorientation	42.00	.00	12/31/88
C16300-ZAM	1986	Zambia	Industrial Reorientation	19.46	.00	12/31/88
C17200-ZAM	1986	Zambia	Recovery Credit	50.00	.00	06/30/91 (R)
C22140-ZAM	1991	Zambia	Recovery Credit	210.00	.00	06/30/92
C22141-ZAM	1991	Zambia	Recovery Credit	27.20	.00	06/30/92
C22142-ZAM	1992	Zambia	Recovery Credit	10.00	.00	06/01/93
C24050-ZAM (S)	1992	Zambia	Privatization/Industrial Rehabilitation	200.00	.00	02/24/95 (R)
C25230 ZAM	1993	Zambia	PIRC II	100.00	.00	06/30/97
C24051-ZAM	1993	Zambia	Privatization/Industrial Rehabilitation	20.88	.00	03/23/94
C25770-ZAM	1994	Zambia	Economic and Social Adjustment	150.00	.00	12/31/95
C25231-ZAM (S)	1994	Zambia	PIRC II	10.00	.00	06/30/95
C24052-ZAM	1994	Zambia	Privatization/Industrial Rehabilitation	16.84	.00	04/26/95
C25771-ZAM	1995	Zambia	Economic and Social Adjustment	13.70	.00	12/31/95
C26641-ZAM (S)	1996	Zambia	ERIP	12.10	.00	02/23/97

(R) Indicates formally revised closing date.
(S) Indicates SAL/SECAL loans and credits.

ZAMBIA: STATEMENT OF IFC INVESTMENTS
(In millions of U.S. dollars; as of September 30, 1996)

FY	Obligor	Type of Busines	Gross commitments in US$ million				Held by IFC	Held by partici-pant
			Loan	Equity	Parti-cipant	Total		
1995	Kaila Lodge Limited	Hotels & Tourism	0.2	--	--	0.2	0.2	--
1994	Big Five Car Hire	Car hire	0.6	--	--	0.6	0.6	--
1989	Masstock (Zambia) 1/	Agribusiness	8.7	--	--	8.7	--	--
1988	Gwembe Valley 1/ Development	Agribusiness	3.7	0.8	--	4.5	--	--
1985	Mpongwe Development Corp. 1/	Agribusiness	1.8	0.3	--	2.1	--	--
1984/91	Zambia Hotel Properties Ltd.	Tourism	7.5	--	14.9	22.4	6.0	15.1
1982	Ethanol Company of Zambia 1/	Chemicals and Petrochemical	3.7	0.6	--	4.3	--	--
1980/85	Kafue Textiles	Textiles	10.7	--	--	10.7	6.1	--
1980/82	ZCCM 1/	Mining	45.1	--	8.0	53.1	--	--
1975/78	Century Packages Ltd. 1/	Plastic Wrap	0.9	0.2	--	1.1	--	--
1976	Development Bank of Zambia 1/	Development Finance	--	0.5	--	0.5	--	--
1972/73	Zambia Bata Shoe	Shoes	0.9	0.2	1.1	2.3	0.2	--
	Total gross commitments 2/		83.9	2.7	24.0	110.6		
	Less: Cancellations, terminations, repayments, and sales		71.0	2.4	8.9	82.4		
	Total commitments now held 3/		12.9	0.2	15.1	28.2	13.1	15.1

1/ Investments which have been fully cancelled, terminated, written-off, sold, redeemed or repaid.
2/ Gross commitments consist of approved and signed projects.
3/ Held commitments consist of disbursed and undisbursed investments.

ZAMBIA: MEDIUM-TERM PROSPECTS AND DEBT SUSTAINABILITY

This appendix updates and extends the debt sustainability analysis presented in EBS/95/189.[1] While the updated baseline scenario continues to indicate that the current account will eventually strengthen sufficiently to greatly reduce Zambia's financing gaps from the peak levels of 2003-05, the projected gaps remain very substantial over the medium-term. Even under a strong adjustment scenario with growing exports of copper and nontraditional products, Zambia will need to continue to rely on large and sustained flows of concessional financing.

The baseline medium-term scenario presented in Table I of Appendix IV is based on the following assumptions:[2]

- Real GDP will grow by 5.5 percent annually in 1997-99, and 4-5 percent in the years thereafter.

- The volume of copper exports will grow by 6 percent per annum during 1997-99, followed by a brief period of decline as production from existing mines tails off before production from new projects (Konkola Deep and Konkola North) comes on stream after 2002. Copper prices are assumed to remain fairly stable at about US$1970 per ton over the next four years and are projected to increase by 1.5 percent a year thereafter.

- Nontraditional exports are assumed to grow in volume terms by 15 percent in 1997 and by 8 percent through 2010, increasing from 15 percent of total exports in 1994 to 44 percent in 2010 and over 50 percent by 2015.

- After a rebound in 1997, growth of nonmetal sector imports is projected to return to a level close to that of GDP growth (i.e., an average income elasticity close to unity).

[1]The staff of the World Bank has reviewed this analysis and agrees with the overall assessment.

[2]The main differences between the updated scenario and the one presented in EBS/95/189 relate to annual GDP growth in 1997-99, which is now projected at 5.5 percent instead of 6 percent; a lower value of copper exports due to a downward revision of volumes and prices; a somewhat higher level of nontraditional exports as realized growth in 1994-96 has substantially increased the baseline path; a somewhat lower level of official transfers, reflecting the suspension of program aid in 1996 and more cautious assumptions about the recovery in aid in the years to come.

- The current account deficit will widen from 6 percent of GDP in 1997 to 9.5 percent in 2002, as a result of growing imports of capital goods in the mining sector. It will improve thereafter as investment in mining falls and the growth of copper exports picks up.

- Project assistance is expected to remain stable in real terms, with the dollar amounts growing at an average annual rate of 2½ percent over the period 1996-2015. Program assistance, on the other hand, declines steadily from $142 million in 1996 to zero by 2008. Including assumed borrowing to cover financing gaps (after possible debt relief), total borrowing (excluding project loans) peaks at almost $600 million in 2003 before declining to $170 million in 2015. It is assumed that all new lending, including gap finance, is on highly concessional terms; overall, the assumed grant element on new lending is about 65 percent.

- The debt and balance of payments projections are based on the assumption of continued flow reschedulings of pre-cutoff date bilateral official debt on Naples terms. No assumption is made about an early Naples terms stock-of-debt operation, as it is judged unlikely that the resulting debt-service burden would be lightened sufficiently to ensure that the operation represented a permanent exit from rescheduling.[3]

- The targeted reserve buildup in the baseline scenario indicates a steady but gradual increase in reserve cover from 2.2 months of imports of goods and services in 1997 to 2.8 months by 2015.

The baseline projections suggest that if strong adjustment efforts are maintained, Zambia could eventually move onto a path of sustained export-led growth consistent with a steady increase in per capita consumption. However, key indicators of official external indebtedness (Appendix IV, Table II and Chart I) continue to reflect the heavy debt service burden that Zambia faces at least through the next decade. The ratio of the net present value (NPV) of external debt to exports would fall below the 200 percent level only in 2009. The relatively rapid decline after 2003 reflects the strong projected growth in exports and the fact that the heavy debt burden of earlier years is assumed effectively to be refinanced on highly concessional terms. As concerns fiscal indicators of debt sustainability, total external public sector debt service payable after rescheduling would decline from 47 percent of government

[3]Assuming a stock of debt operation in early 1999, the NPV debt/exports ratio would fall to approximately 230 percent, but would rise again above 250 percent in 2001 before falling through 200 percent in 2004 (Chart Ia).

revenues in 1996 to 21 percent in 1999.[4] Assuming that revenues grow slightly faster than nominal GDP over the rest of the projection period (rising from 16 percent of GDP in 1997 to 22½ percent in 2015), the ratio would rise again to 42 percent in 2001, when repayments of SAF/ESAF loans start, before declining to less than 15 percent in 2010, and to 13 percent by 2015.

A sensitivity analysis under alternative scenarios is shown in Table III of Appendix IV. Zambia would remain acutely vulnerable to declines in copper export volumes and copper prices as indicated in Scenarios 2 and 3 respectively,[5] although, assuming that these increased gaps could be financed on highly concessional terms, the current account excluding official transfers and interest would still show some improvement by 2010, and would continue to strengthen through 2015. Similarly, Scenarios 4 and 5 reveal that substantial additional adjustment and/or aid would be required either if nontraditional export growth were reduced by 5 percentage points relative to the baseline or if the income elasticity of nonmetal imports were higher (1.2 throughout the projection period).[6] The lower (0.9) income elasticity of nonmetal imports in Scenario 6 would improve the medium-term outlook and would be the only scenario in which the financing gap would be completely eliminated by 2015. Even in this scenario, however, the debt situation would be judged unsustainable: financing gaps through 2005 would remain larger than what could plausibly be mobilized, and the ratio of the net present value of debt to exports would still not fall below 200 percent before 2009. Finally, the persistence (and, after 2009, secular increase) of financing gaps in the last scenario, in which transfers are reduced by 10 percent and new borrowing is assumed to be on nonconcessional terms, points up Zambia's dependence on highly concessional financing.

In sum, the debt sustainability analysis shows that Zambia's debt indicators would remain above sustainable levels according to the criteria used in the HIPC Initiative even if strong policy efforts and the full use of traditional debt relief mechanisms are assumed. As the alternative scenarios clearly demonstrate, any additional negative shocks to the Zambian economy will only serve to compound an already difficult external financing situation.

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[4]Debt service of the central government accounts for about two thirds of the total for the public sector.

[5]Export volumes and prices have fluctuated significantly in recent years; relative to 1993, copper export volumes declined over the period 1994-95 by 22 percent, while copper export prices increased by 41 percent. In 1996, the volume of copper exports increased by 2 percent, while world market prices fell by 21 percent.

[6]Given that the baseline case assumes a sharp rebound in imports of the nonmetals sector in 1997 after a severe compression in 1996, the adjustment in Scenarios 5 and 6 begins in 1998.

Chart I. Zambia: Selected Public External Debt and Debt Service Indicators

Chart Ia. Zambia: NPV of Debt/Exports Ratios, 1996-2015

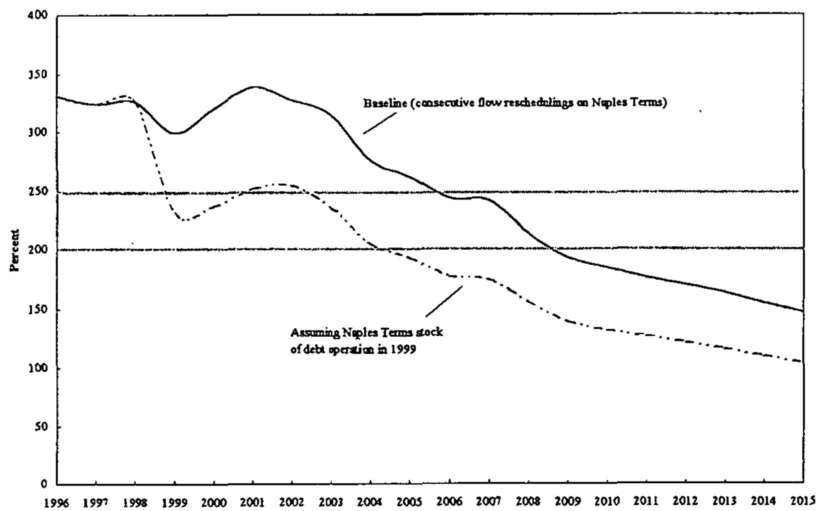

Chart Ib. Zambia: NPV of Debt Ratios Under Alternative Scenarios, 1996-2015

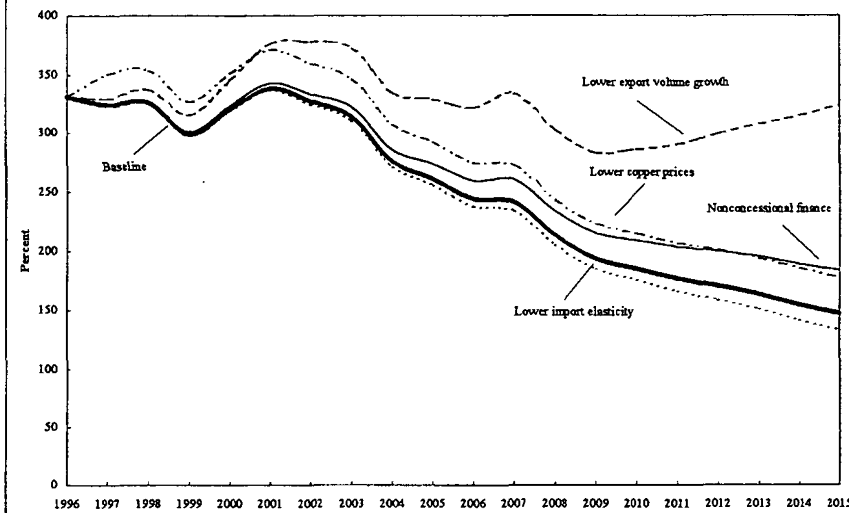

Chart Ic. Zambia: Debt Service Ratios, 1996-2015

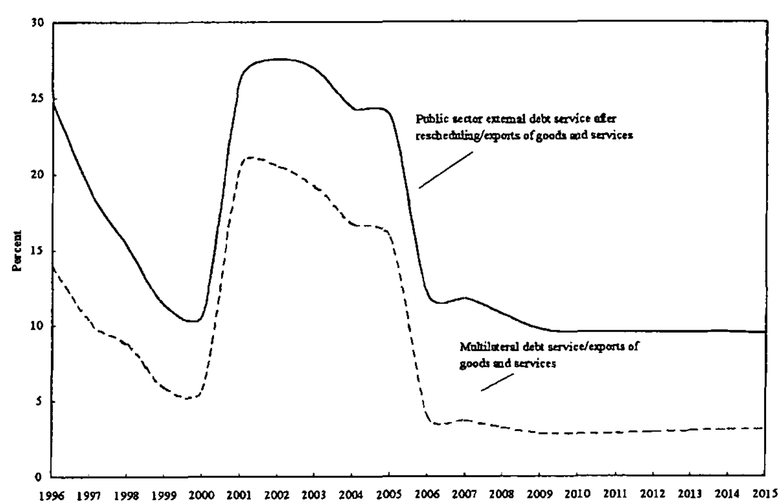

Chart Id. Zambia: Fiscal Indicators of Debt Service Burden, 1996-2015

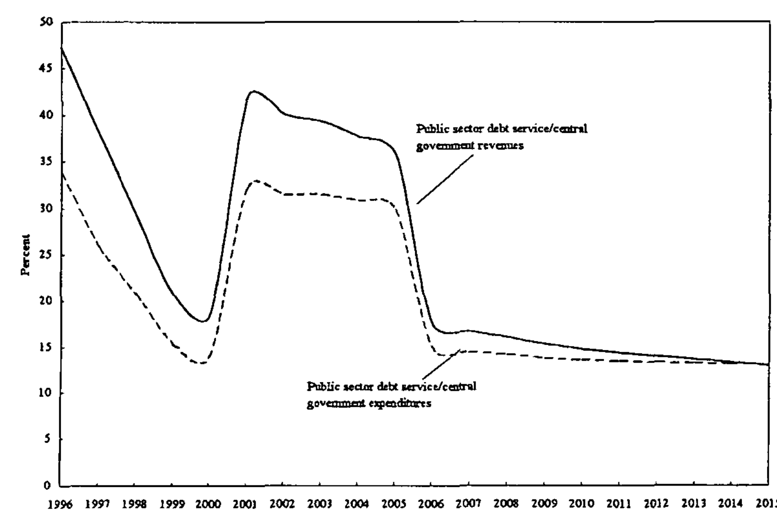

Table I. Zambia: Medium-Term Balance of Payments, Baseline Scenario, 1995 - 2015

	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2010	2015
		Est.	Projections											Outer years	
	(In millions of US dollars, unless otherwise indicated)														
Current account balance	-246	-248	-287	-337	-366	-446	-490	-546	-534	-482	-596	-651	-682	-463	-470
Excluding official transfers	-564	-478	-459	-564	-609	-685	-725	-778	-762	-707	-818	-873	-910	-711	-756
Trade balance	-38	-26	-16	-112	-144	-224	-286	-352	-264	-165	-275	-327	-366	-25	-103
Exports, f.o.b.	1,190	1,128	1,217	1,273	1,388	1,406	1,392	1,361	1,478	1,712	1,792	1,878	1,944	2,712	3,421
Metals	974	856	854	875	952	928	869	789	851	1,025	1,040	1,055	1,041	1,527	1,639
Other	216	272	364	398	436	478	523	573	627	687	752	824	902	1,185	1,782
Imports, c.i.f.	-1,228	-1,154	-1,233	-1,386	-1,532	-1,630	-1,678	-1,713	-1,742	-1,877	-2,067	-2,205	-2,310	-2,737	-3,524
Metal sector	-265	-212	-226	-315	-404	-425	-404	-354	-296	-337	-428	-465	-462	-526	-547
Other	-963	-941	-1,007	-1,070	-1,128	-1,205	-1,273	-1,359	-1,446	-1,540	-1,639	-1,740	-1,848	-2,211	-2,977
Services balance (net)	-255	-201	-208	-217	-232	-222	-202	-181	-188	-218	-211	-201	-184	-245	-149
Transfers (net)	300	213	154	207	220	217	215	213	207	199	196	195	202	208	240
Of which: official	318	230	173	228	243	239	235	232	228	225	222	222	228	248	286
Interest on official debt	-251	-228	-210	-206	-199	-199	-191	-192	-194	-194	-195	-198	-202	-205	-182
Other factor transactions (net)	-1	-6	-9	-10	-14	-19	-26	-35	-96	-104	-111	-120	-131	-197	-276
Capital account	-6	71	155	203	227	204	221	177	101	132	276	365	376	319	357
Official disbursements	234	193	214	194	193	187	192	186	170	170	167	162	158	169	173
Program loans	171	119	123	96	85	74	73	62	40	40	30	20	10	0	0
Project loans	63	74	91	98	108	113	119	124	130	130	137	142	148	169	173
Official amortization	-317	-268	-192	-153	-215	-275	-279	-279	-270	-236	-181	-130	-134	-170	-251
Multilateral (excluding IMF)	-84	-95	-76	-66	-45	-44	-45	-38	-40	-40	-41	-43	-45	-57	-100
Other	-233	-172	-117	-87	-170	-231	-235	-240	-230	-195	-139	-87	-88	-112	-151
Private capital	77	146	133	162	249	293	308	270	201	197	290	334	352	320	435
Konkola financing	0	10	10	40	110	140	140	110	29	14	-6	-10	-11	-11	0
New mine financing	0	0	0	0	0	0	0	0	0	0	100	130	130	30	-16
Other direct investment	75	61	67	67	81	91	103	90	97	104	111	123	136	182	286
Other (net)	2	75	56	54	58	61	65	70	75	80	85	91	97	118	165
Errors and omissions	36	72	0	0	0	0	0	0	0	0	0	0	0	0	0
Overall balance	-216	-105	-132	-134	-139	-242	-269	-369	-433	-350	-320	-286	-306	-144	-113
Net change in arrears (decrease -) 1/	176	-176	0	0	0	0	0	0	0	0	0	0	0	0	0
Debt reduction/rescheduling 2/	37	325	145	141	0	0	0	0	0	0	0	0	0	0	0
Net reserve change of Bank of Zambia	49	-27	-37	-21	-50	-77	-261	-251	-262	-299	-299	-53	-32	-50	-50
Gross reserves	65	1	-80	-50	-50	-55	-20	-5	-10	-45	-45	-40	-25	-50	-50
Other liabilities (excluding IMF)	-21	-27	0	0	0	-22	0	0	0	0	0	0	0	0	0
IMF (net)	4	0	43	29	0	0	-241	-246	-252	-254	-254	-13	-7	0	0
Net reserve change of commercial banks	-46	-17	-9	-29	-16	-20	-15	-15	-15	-15	-15	-15	-15	-15	-15
Financing gap (gap +, surplus -)	0	0	33	43	205	339	544	635	710	664	634	354	353	209	178
Possible gap finance:	0	0	33	43	205	339	544	635	710	664	634	354	353	209	178
Of which:															
Debt relief 3/	0	0	0	0	105	172	169	168	166	160	101	42	41	39	8
Memorandum items:															
Financing gap (in percent of GDP)	0.0	0.0	0.8	0.9	4.3	6.7	10.1	11.0	11.6	10.1	9.1	4.8	4.5	2.2	1.3
Debt service/exports of goods and services (in percent)	44.4	39.8	29.7	25.3	26.8	30.0	45.0	45.8	42.1	34.9	30.5	15.7	15.1	11.9	10.6
Current account balance (in percent of GDP)	-6.1	-6.0	-6.7	-7.5	-7.7	-8.8	-9.1	-9.5	-8.7	-7.4	-8.5	-8.8	-8.6	-4.8	-3.6
Excluding official transfers	-13.9	-11.5	-10.8	-12.5	-12.8	-13.5	-13.4	-13.5	-12.4	-10.8	-11.7	-11.7	-11.5	-7.4	-5.7
Gross reserves 4/	208	207	287	337	387	442	462	467	477	522	567	607	632	762	1012
In months of imports 4/ 5/	1.7	1.7	2.2	2.3	2.4	2.6	2.7	2.7	2.7	2.7	2.7	2.7	2.7	2.7	2.8
Balance of payments assistance	303	142	123	136	125	118	113	95	64	55	36	20	10	0	0
Export volume (percentage change) 6/	-6.3	6.0	13.8	5.3	7.4	-0.5	-3.2	-3.1	7.1	14.4	3.0	3.1	1.7	4.3	3.3
Import volume (percentage change) 7/	7.7	0.2	8.5	12.7	9.3	4.9	1.5	0.7	0.3	6.3	8.6	5.2	3.3	3.8	4.0
Terms of trade (percentage change)	8.9	-20.4	-7.1	-1.0	0.5	0.1	0.6	-1.2	-0.1	0.1	0.1	0.1	0.1	0.1	0.1

Sources: Data provided by Zambian authorities; and staff estimates.

1/ Excluding changes in arrears to the Fund, which are reflected in the line "IMF (net)" and in changes in net reserves of the Bank of Zambia.

2/ Assumes effectiveness of February 1996 Paris Club rescheduling agreement and comparable terms from other bilateral creditors.

3/ Possible additional flow rescheduling of pre-cutoff date debt on Naples Terms by bilateral official creditors.

4/ Excluding amounts in special Bank of International Settlements account to cover debt service due under February 1996 Paris Club accord.

5/ Months of imports of goods and services.

6/ Exports of goods and services.

7/ Imports of goods and services.

Table II. Zambia: Key Indicators of Official External Indebtedness, Selected Years 1995-2015

	1995	1996	1997	1998	1999	2000	2001	2004	2007	2010	2015
		Est.				Projections				Outer years	
					(In millions of U.S. dollars)						
Total debt service due 1/	563	470	372	324	372	422	651	592	234	246	256
Principal	317	268	192	153	215	275	520	480	120	131	153
Interest	246	202	179	171	157	147	131	111	114	115	102
Scheduled debt service on existing contracted debt 2/	563	469	369	320	366	413	635	547	163	155	123
Principal	317	268	192	153	215	275	520	480	119	120	104
Multilateral 3/	84	95	76	66	45	44	286	294	50	46	50
Official bilateral	180	106	58	52	148	223	229	181	63	68	48
Paris Club	166	92	39	34	129	202	207	172	58	64	48
Post-cutoff date	47	23	16	13	10	9	10	10	9	9	9
Pre-cutoff date	119	70	23	20	120	193	198	163	49	55	39
Of which: PRD (Toronto)	0	0	0	0	65	134	143	143	29	29	0
PRD (London)	12	10	11	11	45	50	43	7	10	16	28
Non-Paris Club	14	14	19	18	18	22	22	9	5	5	0
Commercial suppliers and other	52	66	59	35	22	8	5	5	5	5	5
Interest	246	201	177	167	151	138	115	66	44	35	19
Multilateral 3/	106	78	60	55	42	41	34	25	19	17	11
Official bilateral	118	112	110	108	106	95	80	41	24	17	8
Paris Club	117	111	109	107	105	94	79	40	23	17	8
Post-cutoff date	10	7	7	6	5	5	5	4	2	1	1
Pre-cutoff date	108	104	102	101	100	90	75	36	22	16	7
Of which: PRD (Toronto)	64	63	63	63	63	57	51	24	10	6	0
PRD (London)	27	34	34	33	32	29	20	10	9	8	5
Non-Paris Club	1	1	1	1	1	1	1	1	1	1	0
Commercial suppliers and other	22	11	7	4	3	1	1	1	1	1	1
Debt service on new borrowing 3/	0	1	2	3	4	5	6	9	13	24	63
Gap interest 4/	0	0	0.3	1	2	4	10	36	59	67	70
Debt service payable 5/	350	307	257	218	176	169	416	475	267	299	387
					(In percent of exports of goods and services)						
Debt outstanding 6/ 7/	512.6	531.1	524.1	524.3	492.5	493.2	500.5	437.1	421.1	326.2	269.2
Debt service due 1/	44.0	37.7	27.5	22.8	24.0	26.8	41.2	30.2	10.3	7.8	6.3
Of which: multilateral institutions	14.9	14.0	10.2	8.8	5.9	5.7	20.6	16.7	3.6	2.8	3.1
Debt service payable 5/	27.3	24.7	19.0	15.4	11.3	10.7	26.4	24.3	11.8	9.5	9.5
					(In percent of GDP)						
Debt outstanding 6/ 7/	161.3	159.2	166.1	165.1	160.2	153.6	146.4	130.8	120.5	106.7	82.9
Debt service due 1/	13.8	11.3	8.7	7.2	7.8	8.3	12.0	9.0	3.0	2.6	1.9
Of which: multilateral institutions	4.7	4.2	3.2	2.8	1.9	1.8	6.0	5.0	1.0	0.9	0.9
Debt service payable 5/	8.6	7.4	6.0	4.8	3.7	3.3	7.7	7.3	3.4	3.1	2.9
					(In percent, except where otherwise indicated)						
Memorandum items:											
NPV debt/exports 8/	403	331	324	326	299	320	338	276	241	185	147
Multilateral debt/GDP	79.1	79.9	81.0	79.5	78.5	76.4	70.0	52.5	44.4	40.1	32.6
Debt service/revenues 9/	50.9	47.3	38.0	29.4	20.7	18.4	41.9	37.7	16.7	14.8	13.0
Debt service/expenditures 9/	33.4	33.9	25.9	20.7	15.3	13.9	32.3	30.8	14.5	13.6	13.0
Exports of goods and services (millions of US$)	1,280	1,244	1,352	1,419	1,547	1,578	1,580	1,958	2,267	3,139	4,065
Nominal GDP (millions of US$)	4,067	4,152	4,265	4,508	4,755	5,068	5,402	6,542	7,923	9,595	13,201

Sources: Data provided by Zambian authorities; and staff estimates.

1/ Before assumed flow reschedulings; figure will therefore differ from balance of payments table by the amount of debt service on flow reschedulings.
2/ At end-1995.
3/ Including IMF.
4/ Assumes residual gaps are filled on highly concessional terms.
5/ After flow reschedulings. Assumes Paris Club flow reschedulings on Naples terms with a 67 percent net present value reduction, and topping up of maturities under the 1990 and 1992 Paris Club agreements; and comparable terms from other bilateral creditors.
6/ Stock of public and publicly guaranteed debt at end of period.
7/ Does not reflect debt reduction option chosen by some creditors in 1996 Paris Club agreement.
8/ Ratio of NPV of debt, after consecutive flow reschedulings, to current-year exports of goods and services.
9/ Public sector debt service payable.